
UNIT 1: CONCEPTS OF INTERNATIONAL MARKETING

INTRODUCTION

Marketing can be defined in various ways. In order to understand the term marketing we can use the following definitions.

- Process of planning and executing the conception pricing, promotion and distribution of ideas, goods and services to create exchanges that satisfy individual and organization goals
- Marketing is the activity, set of institutions, and processes for creating, communicating, delivering, exchanging, offering that have value for customers, clients, partners, and society at large.
- Marketing is a social and managerial process by which individuals and groups obtain what they want and need through creating, offering and exchanging products of value with others.
- Marketing is the process of development and efficient distribution of goods and services to a target market with the objective of making profit.
 - Development:- refers to the identification of a new product, its design, production, branding and packing.
 - Distribution:- refers to the placement of products at the right quantity, time and to the right place where the target consumer is available.
- Marketing is a process of anticipation, management and satisfaction of demand through exchange.
 - Anticipation of demand refers to the estimation or forecasting how consumers demand for products in the future changes.
 - Management of demand also refers to the stimulation of demand, facilitation of usage and regularity of supply.
 - Satisfaction of demand refers to the ability to meet or exceed the expectation of customers demand by providing after sales service such as packing, transportation, maintenance, availability of spare parts, guarantee etc.

IMPORTANCE OF MARKETING

Marketing is an important social activity that offers benefits to all the parties concerned. As such importance of marketing can be summarized as follows.

- A. As a producer and businessman we usually make such marketing related decisions such as finding out who are our customers? What are their need and want and what good and service to offer and at what price.
- B. As a consumer we make such marketing related decision where to shop, which salesperson to contact, what price to pay, what to buy.
- C. As an employee we are concerned with the employment opportunity that can be created by marketing activities.
- D. To the society, marketing contributes to the economic growth of the society through making profit and make people at a better off.
- E. Marketing creates utility such as:

Place utility: -Marketing makes products readily available at a place where customers want them.

Time utility: -Marketing makes products available at the time when they are wanted by customers.

Possession utility: -Marketing makes possession by selling the product to customer.

Form utility: - Form entails the physical or chemical change that takes place through production which is based on the marketing effort in identifying what customers need and want.

TYPES OF MARKETING

One way to understand the concept of international / global world marketing is to examine how international marketing differs from such similar concept as domestic marketing, Foreign marketing, comparative marketing, international trade and multinational marketing.

Domestic marketing is concerned with the marketing practices with n a marketer s home country. From the perspective of domestic marketing, marketing methods used outside the home market are foreign marketing.

Therefore, **foreign marketing** encompasses the domestic operation with in a foreign country.

A study becomes **comparative marketing** when its purpose is to contrast two or more marketing systems rather than examine a particular country's marketing system for its own sake. Similarities and differences between systems are identified. Thus comparative marketing involves two or more countries and an analytical comparison of marketing methods used in these countries.

International marketing must be distinguished from international trade. **International trade** is concerned with the flow of goods and capital across national borders. The focus of the analysis is on commercial and monetary conditions that affect balance of payment and resource transfers. This economics approach provides a macro view of the market at the national level, with no specific attention given to companies marketing intervention. The study of international marketing on the other hand, is more concerned with the micro level of the market and uses the company as a unit of analysis. The focus of the analysis is on how and why a product succeeds or fails abroad and how marketing efforts affects the outcome.

Some marketing authorities differentiate international marketing from **multinational marketing** because international marketing in its literal sense signifies marketing between nations. The word international can thus imply that a firm is not a corporate citizen of the world but rather operates from a home base.

Domestic marketing involves are set of uncontrollable derived from the domestic market. International marketing is much more complex because a marketer faces two or more sets of uncontrollable variables originating from various countries. The marketer must cope with different cultural, legal, political and monetary systems.

International Marketing

The American Marketing Association (AMA) defines the term international marketing as follows.

“International Marketing is the multinational process of planning and executing the conception, pricing, promotion and distribution of ideas, goods, and services to create an exchange that satisfy individual and organizational objectives.

International marketing is defined as the performance of business activities designed to plan, price, promote, and direct the flow of a company's goods and services to consumers or users in more than one nation for a profit.

International marketing is the performance of business activities that direct the flow of a company's goods and services to consumers or users in more than one nation for a profit. The only difference in the definitions of domestic marketing and international marketing is that the marketing activities take place in more than one country. This apparently minor difference accounts for the complexity and diversity found in international marketing operations.

Marketing concepts, processes and principles are to a great extent universally applicable, and the marketer's task is the same whether doing business in Amsterdam, London or Kuala Lumpur. The goal of a business is to make a profit by promoting, pricing and distributing products for which there is a market.

DISTINCTION BETWEEN DOMESTIC VS INTERNATIONAL MARKETS

Some basic distinctions between domestic and international markets are as enumerated below.

i) Domestic market

1. One language, one nation, one culture
2. Market is much more homogeneous
3. Single currency
4. No problems of exchange controls, tariffs
5. Relatively stable business
6. Minimum government interference in business decision
7. Data in marketing research available, easily collected, and accurate etc.

ii) International Markets

1. Many languages, many nations, many cultures
2. Markets are diverse and fragmented
3. Multiple currencies
4. Exchange controls and tariffs normal obstacles
5. Multiple and unstable business environments
6. Due to national economic plans government influence usual in business decisions
7. Marketing research very difficult, costly and cannot give desired accuracy, etc.

What is international trade? Definition and Meaning

International trade is exchange of capital, goods, and services across international borders or territories. In other words, imports and exports. International trade consists of goods and services moving in two directions:

1. *Imports* – [flowing into a country](#) from abroad.
2. *Exports* – [flowing out of a country](#) and sold overseas.

Reasons for International Trade

The first theory section of this course contains explanations or reasons that trade takes place between countries. The six basic reasons why trade may take place between countries are summarized below.

Differences in Technology

Advantageous trade can occur between countries if the countries differ in their technological abilities to produce goods and services.

Differences in Resource Endowments

Advantageous trade can occur between countries if the countries differ in their endowments of resources. The uneven distribution of resources around the world is the one of the basic reasons why nations began and continue to trade with each other. Favorable climatic conditions and terrain are very important for agricultural produces. Natural resources, Skill workers, Capital resources, Favorable geographic location and transport costs, Insufficient production, some countries cannot produce enough items they need.

Economic reasons: In addition to getting the products they need, countries also want to gain economically by trading with each other.

Differences in Demand: Advantageous trade can occur between countries if demands or preferences differ between countries.

Existence of Economies of Scale in Production: The existence of economies of scale in production is sufficient to generate advantageous trade between two countries.

Existence of Government Policies: Government tax and subsidy programs can be sufficient to generate advantages in production of certain products.

Advantages of international trade

Comparative Advantage: trade encourages a nation to specialize in producing or supplying only those goods and services which it can deliver more effectively and at the best price, after taking into account opportunity cost.

Economies of Scale: if you sell your goods globally, you will have to produce more than if you sold just domestically. Producing in higher volumes provides greater economies of scale. In other words, the cost of producing each item is lower.

Competition: international trade boosts competition. This, in turn, is good for prices and quality. If suppliers have to compete more, they will work harder to sell at the lowest price and best quality possible. Consumers benefit by having more choice, more money left over, and top-quality goods.

Transfer of Technology: increases thanks to international trade. Transfer of technology goes from the originator to a secondary user. In fact, that secondary user is often a developing nation.

Jobs: great trading nations such as Japan, Germany, the UK, the USA, and South Korea have one thing in common. They have much lower levels of unemployment than protectionist countries.

Disadvantages of International Trade

Over-Specialization: employees might lose their jobs in large numbers if global demand for a product declines.

New Companies: find it much harder to grow if they have to compete against giant foreign firms.

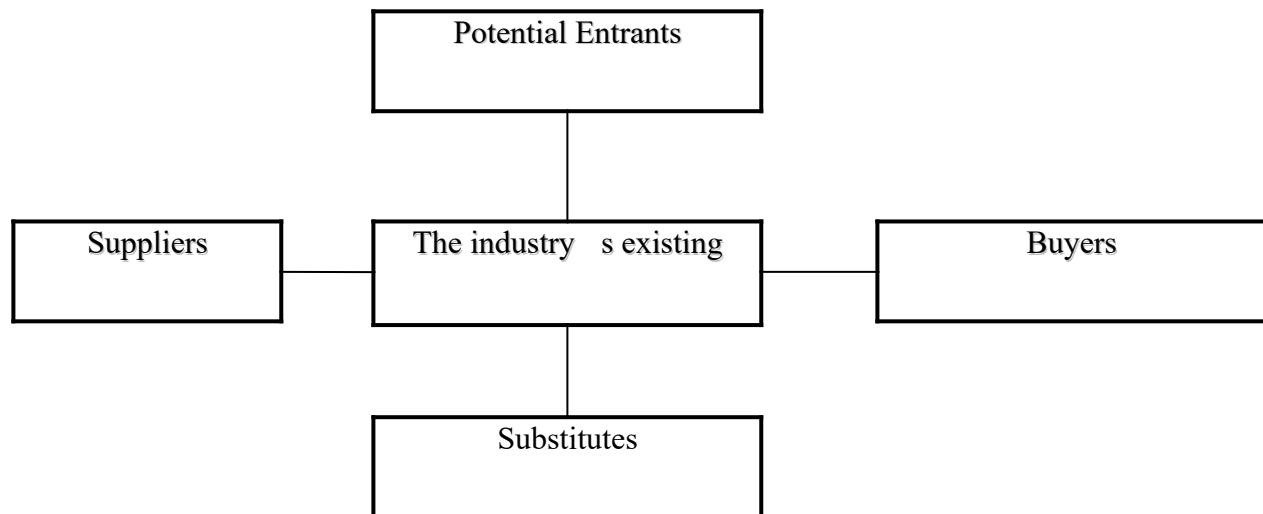
National Security: if a country is totally dependent on imports for strategic industries, it is at risk of being held to ransom by the exporter(s). Strategic industries include food, energy and military equipment.

Strategic Marketing

Strategic marketing planning is the managerial process of developing and maintaining a viable fit between the organization's objectives, skill, and resources and its changing market opportunities. The aim of strategic planning is to shape and reshape the company's businesses and products so that they yield target profits and growth.

Every industry is unique in terms of the competitive behavior that we observe during any period of time. One of the most difficult problems is defining the industry. No industry has clear boundaries either in terms of the firm's products or geographic areas. But the simplest way is, restricting analysis of the firm's external environment to its immediate environment—the industry.

Major forces in Market analysis



Understanding the forces at work in any market segment are a necessary prerequisite to deducing whether and if appropriate, how the firm should use that segment as a strategic business area.

The five forces are:

1. New entrants, potential entrants and the threat of entry
2. Substitute products/ services
3. Buyers and buyer power
4. Suppliers and supplier power
5. Competitors and the nature of inter-firm rivalry.

The greater the intensity of any of these sources of competition, the harder it will be for an organization to earn profits and the greater will be the need for strategic sophistications.

Market Theories

Theory of Absolute Advantage

Adam Smith may have been the first scholar to investigate formally the rationale behind foreign trade. In his book "**Wealth of Nations**" Smith used the **principles of absolute advantage as the justification for international trade**.

According to this principle, a country **should export a commodity that can be produced at a lower cost than other nations**. Conversely it shared import of a commodity that can only be produced at a higher cost than can other nations.

Consider a hypothetical example of the nations producing two products.

Product	USA	Japan
Computer	20	10
Automobile	10	20

It shows that given certain resources and labor, the United States can produce 20 computer or 10 automobiles or some combination of both. In contrast, Japan is able to produce only half as many computers (i.e., Japan produces 10 for every 20 the United States produces).

The disparity might be the result of better skills by American workers in making this product. Therefore the United States is having an absolute advantage in computers. If the situation is reversed for automobiles, the United States makes only 10 cars for every 20 units manufactured in Japan. In this instance, Japan has an absolute advantage.

In this instance, it should be apparent why trade should take place between the two countries. The USA has an absolute advantage for computers but an absolute disadvantage for automobiles.

For Japan, the absolute advantage exists for automobiles and an absolute disadvantage for computers. If each country specializes in the product for which it has an absolute advantage, each can use its resources more effectively while improving consumer welfare at the same time. Since the USA would use less resource in making computers, it should produce this product for its own consumption as well as for export to Japan. Based on this same rationale, the USA should import automobiles form Japan rather than manufacturer them itself. For Japan, of course, automobiles would be exported and computers imported.

Theory of Comparative Advantage

The principle of comparative advantage holds that each **country will specialize in the production and export of those goods that it can produce at relatively low cost** (in which it is relatively more efficient

than other countries). Conversely each country will import those goods that it produces at relatively high cost or in which it is relatively less efficient than other countries.

Ricardo's Analysis of Comparative Advantage

Let us illustrate the fundamental principles of international trade by considering America and Europe of a century ago. If labor (or resources more generally) is absolutely more productive in America than in Europe, does this mean that America will import nothing? And is it economically wise for Europe to "protect" its markets with tariff or quotas.

These questions were first answered by the English economist David Ricardo in 1817. Ricardo supplied a beautiful proof that international specialization benefits a nation, calling the result the law of comparative advantage.

For simplicity, Ricardo worked with only two countries and only two goods, and he choose to measure all production costs in terms of labor hours. We shall follow his lead here; analyze food and clothing for Europe and America.

International Business Trends

1. The rapid growth of the World Trade Organization and regional free trade areas, e.g., NAFTA, the European Union, SAARC.
2. General acceptance of the free market system among developing countries in Latin America, Asia, and Eastern Europe
3. Impact of the Internet and other global media on the dissolution of national borders.
4. Managing global environmental resources.
5. Increasing globalization of markets.
6. Firms face competition on all fronts.
7. Changing ownership structure (TATA CORUS) ,
8. Saturation of Demand in certain big market eg. USA, UK & emergence of it in certain market (China, India)
9. Technology & Excess surplus.
10. Global peace & Dependence.

BENEFITS OF INTERNATIONAL MARKETING

The nation will be benefited through International Marketing, as discussed in the summarized form below :

- **Meet imports of industrial needs**

The developing countries need imports of capital equipments, raw materials of critical nature, technical know how for building the industrial base in the country with a view to rapid industrialization and developing the necessary infrastructure.

- **Debt servicing**

All most all underdeveloped countries have been receiving external aid over the years for their industrial development. Hence it is necessary to aim at sufficient export earnings to cover both imports and debt servicing.

- **Rapid economic growth**

An expanding export trade can be a dynamic factor in a country's development process. The country should have to utilize domestic resources and to provide technological improvement and improved production at lower costs.

- **Profitable use of natural resources**

Earning from exports can be utilized in establishing industrial unit based on different natural resources available in the country by making the necessary imports of plant and machinery for the purpose.

- **Facing competition successfully**

Better quality and lower prices improve the image of the producer as well as of the country in minds of foreign customers.

- **Increase in employment opportunities**

In an effort to increase the export, many export oriented industrial units are established. In underdeveloped countries, the problem of the employment and underemployment is very serious that can be solved to some extent by increasing the level of export.

- **Role of exports in national income**

Exports play an important role in the national income of the country and it can be increased to a sizeable extent through organized export marketing.

- **Increase in the standard of living**

Export marketing improve the standard of living of the countrymen in the following ways: -

- i) The imports of necessary item for consumption can be made which may help improve standard of living.
- ii) Exports increase the employment opportunities, which in turn, increase the purchasing power of the people.
- iii) Exports are responsible for the rapid industrialization of the country. New items are produced for consumption in domestic market, which increases the level of standard of living.
- iv) In order to face the competition in the international market, the producer improves the quality of the product by applying the latest technology. In this way, people get better quality products at cheaper rates. It helps improve the standard of living of the people.

- **International collaboration**

Export marketing results in international collaboration. Developed country fix their import quotas for different countries and for different commodities.

- **Closer cultural relations;** International trade brings various countries closer. Better trade relations are established among the countries.

- **Help in political peace;** The economic relations between two countries help improve their political relations.

PRODUCT LIFE CYCLE

Introducing a new product at the proper time will help maintain a company's desired level of profit. Striving to maintain its dominant position in the market, the company has to face that challenge often.

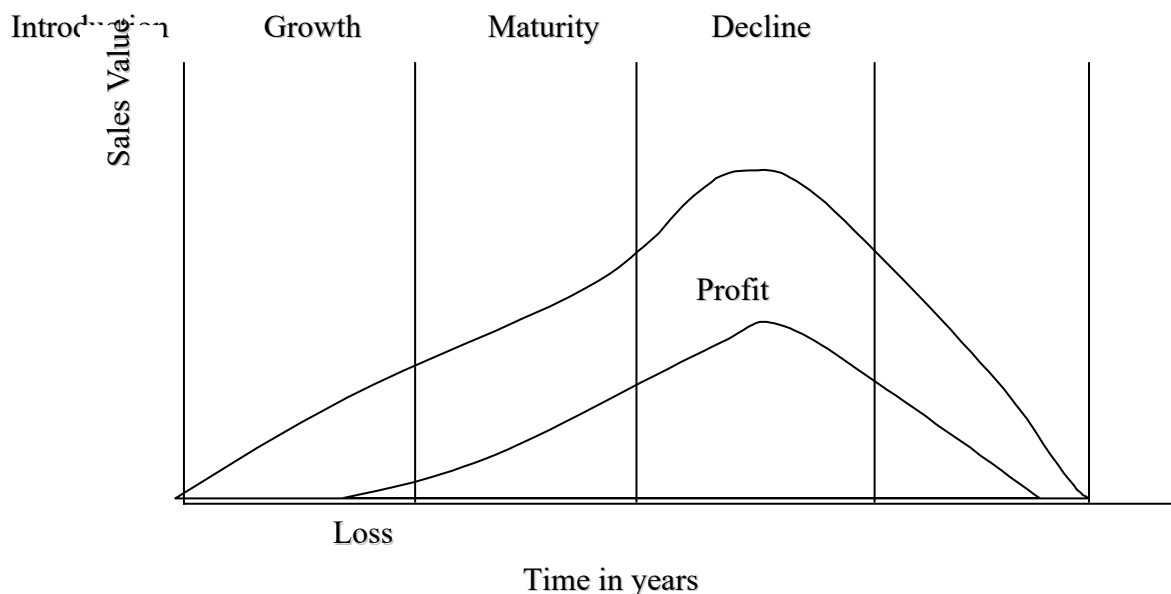
Though designing a new product takes its own course, even a well-made product may not sustain in the market as expected. There are certain reasons why new product fails. Some of which are as follows:

- ♦ Inadequate market analysis and market appraisal
- ♦ Insufficient marketing support
- ♦ Bad timing
- ♦ Failure to recognize changing market environment
- ♦ Absence of formal product planning and development proceeds
- ♦ Failure to the product to fill consumer needs
- ♦ Technical or production problems
- ♦ New entrants
- ♦ Failure to estimate strength of competition

However, any product moves through identifiable stages, each of which is related to the passage of time and each of which has different characteristics.

The Life cycle of a product consists of four stages:

Introduction, Growth, Maturity and Decline. A product life cycle consists of the aggregate demand over an extended period of time for all brands comprising a generic product category.



Characteristics of Each Stage

Management must be able to recognize what part of the life cycle its product is in at any given time. The competitive environment and marketing strategies that should be used ordinarily depend on the particular stage.

1. **Introduction**

During the introduction stage, a product is launched into the market in a full-scale marketing program. It has gone through product development, including idea screening prototype and market tests. This introductory (Sometimes called pioneering) stage is the most risky and expensive one, because substantial amount of money spent in seeking consumer's acceptance of the product.

2. **Growth**

In the growth stage, or market acceptance stage, sales and profit rises, often at a rapid rate. Competitors enter the market, often in a large numbers if the profit outlook is particularly attractive. Mostly as a result of competition, profits start to decline near the end of the growth stage.

3. **Maturity**

During the first part of the maturity stage, sales continue to increase, but at a decreasing rate. When sales level of profits of producers and middlemen decline, the primary reason: Intense price competition. During the latter part of this stage, marginal producers, those with high costs or with out a deferential advantages are forced to drop out of the market. They do so because they lack sufficient customers and /or profits.

4. **Decline**

For most products, a decline stage as gauged by sales volume for the total category is inevitable for one of the following reasons:

- ♦ The need for the product disappears.
- ♦ Better or less expensive product is developed to fill the same need
- ♦ People simply tired of a product (a clothing style for instance)
- ♦ So it disappears from the market.

The concept of product life cycle is very important in modern marketing. Steps in planning and development of products, why new product fail? And strategies used on every stage of the life cycle is illustrated as follows:

BALANCE OF PAYMENT

The balance of payments reports all financial flows of a country vis-à-vis the rest of the world. It is a fairly complicated balance sheet but, in this short text, we shall present it in quite **simplified** way for the absolute beginner.

An aggregate view

In very aggregate terms, let's consider **all "money" entering** into a country (for whatever reason and transaction) and **all "money" exiting** from it. The **difference** between the two is **the change** in the official currency **reserves** of the central bank.

In other terms, people from abroad bring their currency to the central bank, obtaining the local currency in exchange. The local people buy foreign currency in the central bank. All these transactions can have intermediaries (as banks) but at the end, there is a place (the "reserves" of the central bank [1]) that accomodate for the differences between inflows and outflows.

Since reserves are usually **small** in comparison with the flows - and their systematic decrease or increase create problems, as we shall see in a moment - to a large extent, **inflows and outflows tend to be equal**.

In fact, if outflows are larger than inflows, the reserves are going down, until the central bank reacts (e.g. by devaluating [the currency](#)). If outflows are smaller than inflows, reserves pile up. Since they could be profitably used, there is a pressure to reduce them (e.g. by stimulating an outflow in terms of outgoing [FDI](#)).

BARRIERS TO INTERNATIONAL MARKETING

The major legal, political and economical forces affecting international marketers are barriers created by governments to restrict trade and protect domestic industries. Examples includes the following: -

- **Tariff:** - a tax imposed on a product entering a country. Tariffs are used to protect domestic producers and / or to raise revenue. E.g. Japan has a high tariff on imported rice.
- **Import quota:** - a limit on the amount of a particular product that can be brought into a country. Like tariffs, quotas are intended to protect local industry.
- **Unstable governments:** - high indebt-ness, high inflation, and high unemployment in several countries have resulted in high unstable governments that exposed foreign firms in business risks and profit repatriation.
- **Foreign exchange problems:** - high indebtedness and economic and political instability decrease the value of a country's currency. Profit repatriation for foreign firms are not available in many markets.
- **Foreign government entry requirements and bureaucracy.** Government places many regulations on foreign firms. For example: - they might require joint ventures with the majority share going to the domestic partner, a high number of nationals to be hired, limits on profit repatriation etc.
- **Corruption:** - officials in several countries requires bribes to cooperate. They award business to the highest briber rather than the lowest bidder. Etc.
- **Technological pirating:** - a company locating its plant abroad worries about foreign managers learning how to make its product and breaking away to compete openly. I.e. machinery, electronics, chemicals, pharmaceuticals area.

UNIT 2: INTERNATIONAL MARKETING ENVIRONMENT

2.1 INTRODUCTION

The company's marketing environment consists of the actors and forces external to the marketing function of the firm that impinge on the marketing management ability to develop and maintain successful transactions with its target customers.

Every company's primary goal is to serve and satisfy set of needs/wants of a chosen target market at a profit. To carry out these tasks, the company links itself with a set of outside factors to reach its customers. The marketing environment may be classified as external and internal environment. The external environment cannot be controlled by the individual company, whereas, internal environment can be controlled and influenced by the respective company.

Internal environment includes all forces available within the company such as policies, procedures, strategies, mission, people, relationships, between people, etc. In designing marketing plans, marketing management takes other company groups into account groups such as top management, finance, research and development, purchasing, manufacturing and accounting.

The external marketing environment consists of factors and actors that exist outside the company and affect the marketing management's ability to achieve its objectives. This can be classified into two as macro environment and microenvironment.

2.2 EXTERNAL MACRO ENVIRONMENT

This is the set of actors and forces that affect the marketer's activity indirectly by affecting the general marketing environment or microenvironment. These forces represent non-controllable forces, which the company must monitor and respond to. It includes demographic, economic, natural, technological, political, social-cultural forces and competitors.

2.2.1 Demographic Environment

The first macro environment force that is of interest for marketers is population. This is because people constitute a market. Marketers are keenly interested in the size and growth of population, age distribution, ethnic mix, educational levels, household patterns, mobility trend, birth rate, marriage and death rate, religious structure and regional characteristics.

For example

- Population growth determines the quantity of products demanded.
- Age mix signals the kinds of products and services that will be in high demand at each age group.
- Ethnic mix Each population group has certain specific wants and buying habits
- Educational group Illiterate, high school dropouts, high school graduates, college degrees, professional degrees. Their educational group influences the type and quantity of goods and services they demand
- Household patterns The traditional house hold consists of a husband, wife and children (sometimes grand parents). The type and quantity of goods and services is influenced by their household patterns.
- Single, separated, windowed, divorced (SSWD) need smaller apartments, in expensive and smaller appliances, furniture and furnishings and food packed in smaller sizes.

2.2.2 Economic Environment

People alone do not make a market. They must have money to spend and be willing to spend it. Consequently, the economic environment is a significant force that affects the marketing activities of just about any organization. A marketing program is affected especially by such economic factors as the current and anticipated stage of the business cycle, as well as inflation and interest rate. Firms are very sensitive for the following major and other economic factors: Energy price; Interest rates; Exchange rates; Taxation; Inflation/deflation and Economic growth of the nation.

There is also a range of economic factors at an industry level such as the availability of land, capital and labor in different economies and regions.

Inputs are commodities or services used by firms in their product processes. Outputs are the various useful goods or services that are either consumed or employed in further production.

We classify inputs, also called factors of production, into three broad categorized land, labor and capital.

1. Land or more generally natural resources represents the gift of nature to our production processes. It consists of land used for farming or for underpinning houses, factories and roads etc.
2. Labor consists of the human time spent in production working in automobile, factories, teaching school etc.

Capital resources form the durable goods of an economy, produced in order to produce yet other goods. Capital goods include machines, roads, computers, hammers, trucks etc.

Purchasing power comes from size and availability of resources. Income is the amount of money received through wage, rent, investment, pension, credit or wealth. Normally, this money is used for three purposes: **paying tax, spending and saving.**

A society can be grouped in to five groups based on the income distribution.

1. Very low income,
2. Mostly low income,
3. Very low very high incomes,
4. Low, medium, high incomes,
5. Mostly medium incomes.

ECONOMIC SYSTEMS

In the earliest societies, custom ruled every facet of behavior. What, how and for whom were decided by tradition passed on from elders to youth. Different societies face the demands for change through alternative economic systems and economic studies the different mechanisms that a society can use to allocate its scarce resources.

Economic organization can be briefly discussed as follows:

Command Economy

A command economy is one in which the government makes all decisions about production and distribution. In a command economy, the government owns considerable fractions of the means of production (land and capital). It also own and directs the operations of enterprises in most industries. It is the employer of most workers and tells them how to do their job. And the government in a command economy decides how the output of the society to be divided among different goods and services.

Market Economy

A market economy is one in which individuals and private firms make the major decisions about production and consumption. A system of prices, of markets, of profits and losses, of incentives and rewards determine what, how and for whom. Firms produce the commodities that yield the highest profits (the what) by the technique of production that are least costly (the how). Consumption is determined by individual decisions about how to spend the wages and property incomes generated by their labor and property of consuming (the for whom).

Mixed Economy

With elements of market and command, there has never been a 100% market economy. Today most decisions are made in the market place. But the government plays an important role in modifying the functioning of the market. Government sets laws and rules that regulate economic life, produces educational and police services, and regulates production and business.

2.2.3. Competitors Environment

Competitors and those firms that market products similar to or substitute for its production in the same geographic area. An organization rarely stands alone in its effort to serve a given consumer/customer market.

The marketing concept states that to be successful, a company must provide greater customer value and satisfaction than its competitors. Thus marketers must do more than simply adapt to the needs of target consumers. They also must gain strategic advantage by positioning their offerings strongly against competitor's offerings in the minds of consumers. A company competitor may be classified as:

- i. Intertype competitors: - are companies, which produce same or similar products. They compete on the market and may be on the resources.
- ii. Interatype competitors: - are companies, which produces different products from the same resource. They compete on the resource market.

Or they can also be classified as:

- i. Desire competitors: - They compete to satisfy desires of customers. Consumers may have different desires at a time and competitors compete to win the purchasing power of the consumer.

- ii. Generic competitors: - compete in the way they satisfy consumers specific need. ex. Transportation need can be satisfied by different meanses/types of transportation.
- iii. Form competitors: - companies compete in the form of a product i.e. design, feature and shape of the product.
- iv. Brand competitors: - companies compete on the brand. Example Pepsi and coca, Sony and JVC etc. products are similar.

2.2.4. Natural Environment

Marketers should be aware of the threats and opportunities associated with four trends in the natural environment: the shortage of raw materials, the increased cost of energy, the increased levels of pollution and the changing role of government in the natural resource management.

Marketers should pay attention to the physical environment in terms of obtaining resources and also of avoiding damage. Raw materials may be infinite (such: air & water), the infinite renewable (such as forests and food items) and the finite non renewable (such as oil, coal, platinum, zinc, silver).

2.2.5 Technological Environment

Every new technology is a force for creative distraction. It includes forces that create new technologies, creating new products and marketing opportunities. Technology has released worders such as antibiotics, organ transplants, notebook computers, the Internet, penicillin, open-heart surgery, birth control pill. It also create horrors hydrogen bomb, nerve gas, submachine gun, antrax. Technology has a tremendous impact on our lives-our Life-style, our consumption patterns and our economic well-being. Major technological break through carry a three-fold market impact. They can:

- i. Start entirely new industries, as computers, robots, and lasers have done.
- ii. Radically alter or virtually destroy, existing industries. Television crippled the radio and movie industry; hand-held calculators did in the slide-rule industry; computers did in the typewriter industry.
- iii. Stimulate other markets and industries not related to the new technology. New home appliances and frozen food gave homemakers additional free time to engage in other activities. In the western world internet has stimulated the currier and postal businesses.

Socio Cultural Environment

Culture is a set of traditional beliefs and values that are transmitted and shared in a given society. Culture is also the total way of life and thinking patterns that are passed from generations to generation.

The society in which people grow up shapes their beliefs, values and norms. People absorb, almost unconsciously, a worldview that defines their relationship to themselves, to others and to the universe.

The people living in a particular society hold many core beliefs and values that tend to persist like believe: in work, in getting married, giving to the poor, being honest, etc. core beliefs and values are passed on from parents to children and are reinforced by major social institutions such as schools, churches, business and government.

The task facing marketing executives is becoming more complex because our culture patterns- life styles, social values, beliefs-are changing much more quickly than they used to. People start seeking value, quality, and safety in the products they buy. They have started concerning about education, retraining of workers, about air and water pollution, solid waste disposal (distraction of rain forests and other natural resources.

The social factors of the nation, including their changes through time, have great impact on the marketing strategies of firms. The long-term social changes are the major interest of this course.

Today, there is a great change in social outlook for the marketable products and business firms have also possibilities to utilize these opportunities. The study of these social trends such as: The rate of population growth, The rate of employment, trends in consumption.

CHARACTERISTICS OF CULTURE

Culture, an inclusive term, can be conceptualized in many different ways. Not surprisingly, the concept is often accompanies by numerous definitions.

I.e. one study found that there are at least 164 definitions of culture. Another research effort identified some 240 definitions.

In any case, a good basic definition of concept is that: Culture means many things to many people because the concept encompasses norms, values, customs, art and more.

Behavior can be interpreted differently depending on where in the world it occurs. Consider these examples that could cause problems for an uninformed marketer.

- i) Standing with your hands on your hips is a gesture of defiance in Indonesia.
- ii) When you shake your head from side to side, that means, yes in Bulgaria, India and Srilanka.
- iii) Crossing your legs to expose the sole of your shoe is unacceptable in Muslim countries.
- iv) It is rude to leave anything on your plate when eating in Norway, Malaysia or Singapore.
- v) In Egypt, it is rude not to leave something.

Political/Legal Environment

Marketing decisions are strongly affected by developments in the political and legal environment. This environment is composed of laws, government agencies and pressure groups that influence and limit various organizations and individuals in a given society. Sometimes these laws also create new opportunities for business.

The legal/political forces have an indirect but strong influence on the organization. They affect business organizations in the areas of wages and taxes any organization pays, the rights of employees and the organization's liabilities for harm done to customers by its products.

Government plays at least four roles as it interacts with business: as

- i. A regulatory As a regulatory government acts as a supportive and restrictive by enacting legislation to regulate. The purpose of legislations is to protect.
 - a. Firms from unfair competition
 - b. Consumers from unfair business practices
 - c. The interests of society from uncontrolled business behavior
- ii. A supplier government runs and supplies land and natural resources needed by business.
- iii. A competitor government may produce goods and services and supply to the market.
- iv. A customer government buys goods and services of the private business.

It is the marketer's responsibility to have a good working knowledge of the major laws protecting competitors, consumers and society. Companies generally establish legal review procedures and promulgate ethical standards to guide their marketing managers.

The political environment, that a firm operating in international market face is a complex one because they must cope with the politics of more than one nation. The complexity forces to consider that environment as composed of three different types of political environment: foreign, domestic and international

Types of Politics

a) Foreign politics

Foreign politics are the politics of host country. This part of international business environment can range from being favorable and friendly to being hostile and dangerous. The host country's political and economic circumstances determine the kind of political climate a company faces.

A government's encouragement or discouragement of foreign investment is usually dictated by considerations of balance of payments, economic development, and political realities. Balance of payments problems result in policies favoring investments that improve the country's exports, whereas economic development concerns result in policies favoring investments in industries that stimulate employment, either direct through manufacturing or indirectly through use of locally produced parts. Sensitive political situations usually result in policies that prohibit the foreign ownership of vital or sensitive business, such as utilities, transportation, communication and broadcasting.

a) Domestic politics

Domestic politics that exists in the company's home country, also known as the parent or source country. At first glance, it would seem that domestic politics should pose no threat and that a company should have minimal problems at home. This is often not the case. Although a company's major political problems usually derive from political developments at home.

The government of the home country, instead of providing support for international trade, can turn out to be a significant hindrance. There may be many government regulations that interfere with the free flow of trade, and the actions taken by a home country may be motivated more by political considerations

than by sound economic reasoning. For decades Taiwan has refused to trade with China, even though Taiwan has what China needs: Capital and know how. China, on the other hand, offers cheap labor to counteract Taiwan's rising wages.

b) **International politics**

International politics are the interaction of the overall environmental factors of two or more countries. The complexity of the political environment increases significantly when the interest of the company, the host country, and the home country do not coincide.

Regardless of whether the politics are foreign, domestic or international, the company should keep in mind that political climate does not remain stationary. The political relationship between the United States and a long time adversary, China is a prime example. After decades of bitter opponents, both countries become very interested in improving their political and economic ties.

On the other hand, serious problems can develop when political conditions deteriorate. A favorable investment climate can disappear almost overnight.

LEGAL ENVIRONMENT

Government sets rules and regulation to normalize the business activities while safeguarding the societal well-being. Many of the rules set by the government may have an adverse effect on the business. Henceforth, the business firm may be aware of the government rules and regulation and accordingly abide by it. Every company's conduct is influenced more and more by the legal process in the society. The legal forces on marketing can be the following:-

- Monetary and fiscal policies- Government spending, tax legislation etc.
- Social legislation and regulation- Anti pollution law.
- Government relationship with industries- Tariffs and import quotas etc.

The impact of these factors can be wide-ranging and subtle. It can range from the effects of a change in government to the policies persuaded by individual government department or agencies. Such changes can have important consequences both for individual business and for whole sectors of the economy.

EXTERNAL MICRO MARKETING ENVIRONMENT

It consists of the forces close to the marketing activity that affects its ability to serve its customers. This includes: the firm's market, suppliers, marketing channel firms and publics.

The Market/Customers

As both an external force and a key part of every marketing system, the market is really what marketing is all about how to reach the market and serve it profitably and in a socially responsible manner. The market is the focal point of all marketing decisions in an organization. The company links itself to suppliers and middlemen in order to efficiently supply products and services to its target market. There are six types of customer markets.

- i. Consumer markets: - Consists of individual and households that buy goods and services for personal consumption.
- ii. Business markets: - Buy goods and services for further processing or for use in their production process.
- iii. Reseller markets: - Buy goods and services to resell at a profit.
- iv. Government markets: - are made up of government agencies that buy goods and services to produce public services or transfer goods and services to others who need them.
- v. Institutional markets: - consists of those buyers for the purpose of donation and charity.
- vi. International markets: - consists of these buyers in other countries, including consumer, consumer, producers resellers, governments and institutions.

Suppliers

They are individuals and business firms who provides the resources needed by the company to produce the particular products because a company can't sell a product if it can't first make it or buy it. Producer-suppliers of goods and services are critical to the success of any marketing organization.

Marketing managers must watch supply availability supply shortages or delays, labor strikes, other events that can cost sales in the short run and damage customer satisfaction in the long run, the price trends of their key inputs (rising supply costs may force price, to increase that can harm the company's sales volume).

Marketing Intermediaries

Marketing intermediaries are individuals and independent business organizations that directly aid the company in the flow of goods and services between the company and its customers. They help the company in promoting, selling and distributing its goods to the final buyers. These intermediating include.

- i. Re-sellers are distribution channel firms that help the company to find customers or make sales to the company. It consists of middlepersons such as agents, whole sellers and retailers.
- ii. Physical distribution firms:- They help the company to stock and move goods from their point of origin to their destinations. It consists of warehousing firms and transportation firms.
- iii. Marketing services agencies:- They are marketing research firms, advertising agencies, media firms and marketing consulting firms that help the company target and promote its products to the right markets. They have to be chosen carefully because they vary in creativity, quality, service and price
- iv. Financial Intermediaries:- They are banks, credit companies, insurance companies and other business that help finance transactions or insure against the risk associated with the buying and selling of goods. These intermediaries operate between a company and its markets and between a company and its suppliers.

Publics

Are any group that has an actual or potential interest in or impact on an organization's ability to achieve its objectives. This includes:

- Financial public:- affect/influence the company's ability to obtain funds: banks, stock broker, Insurance.
- Media public:- carry news, features and editorial opinion. This includes advertising agencies, media firms, printing firms.
- Government publics:- It includes government offices, authorities and agencies.
- Citizen action public: includes consumer organizations, environmental groups, minority groups & others.
- Local public:- Neighborhood residents and community organizations.
- General public: Includes the general attitude of the society towards the business.

- Internal public:- Includes workers, managers, volunteers and the board of directors

CHAPTER 3: MARKET ENTRY DECISION

Analysis of Entry Strategies

There are a number of characteristics that determine the appropriateness of entry strategies, and many variables affect which strategy is chosen. These characteristics include political risks, regulations, type of country, type of product, and other competitive and market characteristics.

A host country's market size affects the decisions on manufacturing direct foreign investment. In addition, such decisions are influenced by certain classes of political events in certain group of countries. Although internal conflict adversely affects decisions to invest in both LDCs and developed countries, the effect of internal conflict is different from LDCs when compared to developed countries. Conflictive intra nation events are viewed as promoting instability in LDCs, and such instability could adversely affect foreign investors' business goals and profits.

Markets are far from being homogeneous, and the type of country chosen dictates the entry strategy to be used. One way of classifying countries is by the degree of control exerted on the economy by the government, with capitalism at the one extreme and communism at the other. The country temperature gradient is another meaningful classification system.

Countries can be classified as hot, moderate, or cold markets based on a number of factors, including level of economic development and trade barriers. Hot countries are dynamic market receptive to new distortion ideas, whereas cold countries do not easily accommodate changes. Market entry strategies are also influenced by product type. A product that must be customized or that requires same services before and after the sale cannot easily be exported to another country. In fact, a service or a product whose value is largely determined by an accompanied service cannot be practically distributed outside of a producing country. Any portion of the product that is service oriented must be created at the place of consumption. As a result, service-intensive products require particular modes of market entry. The options include management contract to sell service to a foreign customers licensing so that another

local company (franchisee) can be trained to provide that service, and local manufacturing by establishing a permanent branch or subsidiary there.

Market size and market sophistication also did not appear significant in affecting the choice. Since previous studies showed that both market size and market sophistication were positively related to levels of direct investment, the two variables were apparently related to levels of licensing in the same manner.

MNCs prefer whole ownership when they have a lot of experience in an industry or a country. When intersystem sales of the subsidiary are high, or when the subsidiary is located in a marketing-intensive industry.

The joint venture is the preferred mode when MNCs rely on local inputs of raw materials and skills.

Once a company decides to target a particular country, it has to determine the best mode of entry. Its broad choices are indirect exporting, direct exporting, licensing, joint ventures and direct investments. Each succeeding strategy involved more commitment, risk, control and profit potential.

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Forms of Entry

1. Exporting

Exporting can be defined as follows:

Exporting is a strategy in which a company, without any marketing or production organization overseas, exports a product from its home base.

Exporting takes two forms:

- I. Direct Export
- II. Indirect Export

Indirect Export

Companies typically start with indirect exporting that is they work through independent intermediaries to export their products. There are four types of intermediaries.

- a) **Domestic based export merchant;** Buys the manufacturer's products and then sells them abroad.

- b) **Domestic based export agent;** Seeks and negotiate foreign purchases and is paid a commission. Included in this are trading companies.
- c) **Cooperative organization;** Carries on exporting activities on behalf of several producers and is partly under their administrative control. Often used by producers of primary product fruits, nuts and so on.
- d) **Export management company;** Agrees to manage a company's export activities for a fee.

Indirect export has two advantages: -

- 1) It involves less investment and
- 2) It involves less risk

Direct Export

Companies eventually may decide to handle their own exports. The investment and risk are somewhat greater. The company can carry on direct exporting in several ways;

- a) **Domestic based export department or division**
An export sales manager carries on the actual selling and draws market assistance as needed. The department might evolve into a self-contained export department performing all the activities involved in export and operating as a profit center.
- b) **Overseas sales branch or subsidiary**
An overseas sales branch allows the manufacturer to achieve greater presence and programs control in the foreign market. The sales branch handles sales and distribution and might handle warehousing and promotion as well. It often serves as a display center and customer service center also.
- c) **Traveling export sales representation**
The company sends home-based sales representatives abroad to find business.
- d) **Foreign based distributors or agents**
The company can hire foreign based distributors or agents to sell the company's goods. These distributors and agents might be given exclusive rights to represent the manufacturer in that country or only limited rights. Whether companies decide to enter foreign markets through or indirect exporting, one of the best ways to initiate or extend export activities is by exhibiting at an overseas trade show.

Licensing

Licensing is a simple way for a manufacturer to become involved in international marketing. The licensor license a foreign company to use a manufacturing process, trademark, patent, or other item of value for a fee or royalty. The licensor thus gains entry into the foreign market at a little risk. The license gains production expertise or a well-known product or name without having to start from scratch.

There are several forms of licensing arrangements:

c) Management contract

The company can sell a management contract to the owners of a foreign hotel, airport, hospital or other organization to manage these businesses for a fee.

Management contracting is a low risk method of getting into a foreign market, and it yields income from a beginning. Management contracting prevents the company from competing with its clients.

b) Contract manufacturing

The firm engages local manufacturers to produce the product. Contract manufacturing has the drawback of giving the company less control over the manufacturing process and the loss of potential profits on manufacturing. However, it offers the company a chance to start faster, with less risk and with the opportunity to form a partnership or to buy out of the local manufacturer later.

c) Franchising

A company can enter a foreign market through franchising, which is a more complete form of licensing. Here the franchiser offers a franchisee a complete brand concept and operating system. In return, the franchisee invests in and pays certain fees to the franchiser.

Foreign Direct Investment

The ultimate form of foreign involvement is direct ownership of foreign-based assembly or manufacturing facilities. The foreign company can buy part or full interest in a local company or build its own facilities. As a company gains experience in export, and if the foreign market appears large enough, foreign production facilities offer distinct advantages, as enumerated below.

1. The firm could secure cost economies in the form of cheaper labor or raw materials, foreign government incentives, freight savings and so on.
2. The firm will gain a better image in the host country because it creates jobs.
3. The firm develops a deeper relationship with government, customers, local suppliers, and distributors, enabling it to adapt its products better to the local marketing environment. Etc.
4. The main disadvantages of direct investment is that a firm exposes its large investment to risks such as blocked or devalued currencies, worsening markets, or expropriation. The firm will find it expensive to reduce or close down its operations, since the best country might require substantial severance pay to the employees.

The Foreign Manufacturing Strategies with Direct Investment!

According to the International Monetary Fund's Balance of Payments Manual, FDI is an investment that is made to acquire a lasting interest in an enterprise operating in an economy other than that of the investor, the investor's purpose being to have an effective voice in the management of the enterprise. Foreign direct investments (FDI) in wholly owned manufacturing subsidiaries are considered by global firms for many reasons. It is done for acquiring raw materials, operate at lower manufacturing cost, for avoiding tariff barriers and satisfy local content requirements, and for penetrating the local market.

Manufacturing of FDI is very beneficial for market penetration. It helps in local production means price escalation caused by transport costs, local turnover cost custom duty fee can be either nullified or can be reduced. Generally the resellers are being assured for the availability of the product, minimizing the channel conflicts, eliminating delays for ultimate buyers. Location of the production may help the country which may lead to more uniform quality.

There are several problems or demerits to FDI in manufacturing, among which the main is the risk exposure that comes with the resource commitment on the scale usually needed. Joint ventures are also not free from this type of commitment and risks since most agreements stipulate heavy costs for one partner's withdrawal. There is potential problem in overseas manufacturing when country of origin effects are strong.

Companies entering foreign markets have to decide on more than the most suitable entry strategy.

They also need to arrange ownership either as a wholly owned subsidiary in a joint venture or more recently in strategic alliance.

Foreign manufacturing strategies with direct investment include:

- A. **Joint Ventures**
- B. **Strategic Alliances,**
- C. **Merger,**
- D. **Acquisition,**

A. Joint Ventures:

A joint venture is any kind of cooperative arrangement between two or more independent companies which leads to the establishment of a third entity organisationally separate from the parent companies.

Whilst two companies contributing complementary expertise might be a significant feature of other entry methods, such as licensing, the difference with joint ventures is that each company takes an equity stake in the newly formed firm. The stake taken by one company might be as low as 10 per cent but this still gives them a voice in the management of the joint venture.

A joint venture may be the only way to enter a country or region if government contract negotiation practices routinely favour local companies or if laws prohibit foreign control but permit joint ventures. Besides operating to reduce political and economic risk, joint ventures provide a less risky way to enter markets with regards to legal and cultural issues than would be the case in an acquisition of an existing company. The strategic goals of a joint venture are focused on the creation and exploitation of synergies as well as the transfer of technologies and skills. The equity share of the international company can range between 10% and 90% but is generally 25-75%.

Characteristics of Joint Venture:

- 1) Critical Driving Forces:** There should be compelling forces which push the alliance together. Without these forces, there is no true reason for the alliance.
- 2) Strategic Synergy:** There should be complementary strengths strategic synergy in the potential partner. To be successful, the two or more participants must have greater strength when combined than they would independently.
- 3) Great Chemistry:** There should be co-operative efficiencies with the other company. There should be a co-operative spirit. There must be a high level of trust so that executives can work through difficulties that will arise. Don't sell your company's beauty, it must be desired by the prospective partner, not sold.

4) Win-Win: All members of the Alliance must see that the structure, operations, risks and rewards are fairly apportioned among the members. Fair apportionment prevents internal dissension that can corrode and eventually destroy the venture.

5) Operational Integration: Beyond a good strategic fit, there must be careful co-ordination at the operational level where actual implementation of plans and projects occurs.

6) Growth Opportunity: There should be an excellent opportunity to place the company in a leadership position to sell a new product or service, to secure access to technology or raw material. The partner should be uniquely positioned with the know-how and reputation to take advantage of that opportunity.

7) Sharp Focus: There is a strong correlation between success of a venture and clear overall purpose specific, concrete objectives, goals, timetables, lines of responsibility and measurable results.

8) Commitment and Support: Unless top and middle management are highly committed to the success of the venture, there is little chance of success

Reasons for Joint Ventures:

1) Cost Savings: A common rationale is the objective of saving costs by- achieving synergy benefits through rationalization of employment or other fixed costs or by sharing with a joint venture partner or partners the costs of Research and Development (R&D) or capital investment programmes.

2) Risk Sharing: A similar rationale behind many ventures is the wish to share with another party or parties the significant financial risks which may be involved in undertaking a speculative or capital intensive project. Projects of considerable size, such as power stations and other natural resource or infrastructure projects, are frequently undertaken as joint venture projects.

3) Access to Technology: Joint ventures may provide a route for a party to gain access to and learn from, a co-venture's technology and skills and thus accelerate entry into a particular technology or market. Joint ventures are common in industries where technology plays a key role and where that technology is rapidly changing.

4) Expansion of Customer Base: International joint ventures can provide the most effective route for a party to expand the scope of its customer base by utilizing a co-venture's strength in different geographic markets or by buying into a co-venture's distribution or sales network.

5) Entry into Emerging Economies: Joint ventures may also provide the best and sometimes only realistic, route for gaining entry to new emerging markets in areas such as Eastern Europe or Asia where access to local knowledge, contacts or sponsorship is often a practical necessity.

6) Entry into New Technical Markets: The rapid pace of technological change is itself producing new markets. Effective entry into those markets can often be accelerated by participation with another company which already has a technical start in that field or provides complementary skills; a go-it-alone strategy may simply take too long or cost too much.

7) Pressures of Global Competition: On an international scale, the merger of similar businesses between two or more participants may be desirable in order to establish the economies of scale, global customer reach, purchasing power or capital investment resources necessary to meet the strength of international competition.

8) Leveraged Joint Venture: Joining forces with a financial partner can be a method of financing an acquisition which would not otherwise be affordable or, sometimes, structuring an acquisition in a way which can avoid consolidation of the acquired business as a subsidiary for balance sheet purposes.

9) Catalyst for Change: Sometimes there is a less obvious reason perhaps simply a wish, by bringing in a partner, to create a catalyst for change or to stimulate more entrepreneurial activity in a particular area of a party's business.

Advantages of Joint Ventures:

- 1) Joint ventures provide large capital funds. Joint ventures are suitable for major projects.
- 2) Joint ventures spread the risk between or among partners.
- 3) Different parties to the joint venture bring different kinds of skills like technical skills, technology, human skills, expertise, marketing skills or marketing networks.
- 4) Joint ventures make large projects and turn key projects feasible and possible.
- 5) Joint ventures provide synergy due to combined efforts of varied parties
- 6) They have more direct participation in the local market and thus gain a better understanding of how it works
- 7) Companies entering joint ventures are able to exert greater control over the operation of the joint venture.

Disadvantages of Joint Ventures:

- 1) **Joint ventures are also potential for conflicts.** They result in disputes between or among parties due to varied interests.
- 2) The partners delay the decision-making once the dispute arises. Then the operations become unresponsive and inefficient.
- 3) Decision-making is normally slowed down in joint ventures due to the involvement of a number of parties.
- 4) Scope for collapse of a joint venture is more due to entry of competitors, changes in the business environment in the two countries, changes in the partners' strengths etc.
- 5) Life cycle of a joint venture is hindered by many causes of collapse.

B. Strategic Alliances:

Whilst all market entry methods essentially involve alliances of some kind, during the 1980s the term strategic alliance started to be used, without being precisely defined, to cover a variety of contractual arrangements which are intended to be strategically beneficial to both parties but cannot be defined as clearly as licensing or joint ventures.

A Strategic International Alliance (SIA) is a business relationship established by two or more companies to co-operate out of mutual need and to share risk in achieving a common objective. Strategic alliances grew in importance over the last few decades as a competitive strategy in global marketing management.

SIAs are sought as a way to shore up weaknesses and increase competitive strengths. Opportunities for rapid expansion into new markets, access to new technology, more efficient production and marketing costs, strategic competitive moves and access to additional sources of capital are motives for engaging in strategic international alliances. Finally, there is some evidence that SIAs often contribute nicely to profits.

Types of Strategic Alliances:

1) Technology-based Alliances:

Many alliances are focused on technology and the sharing of research and development expertise and findings. The most commonly cited reasons for entering these technology-based alliances are access to

markets, exploitation of complementary technology, and a need to reduce the time it takes to bring an innovation to market.

2) Production-based Alliances:

A large number of production-based alliances have been formed, particularly in the automobile industry. These alliances fall into two groups:

- i) There is the search for efficiency through component linkages that may include engines or other key components of a car.
- ii) Companies have begun to share entire car models, either by developing them together or by producing them jointly.

3) Distribution-based Alliances:

Alliances with a special emphasis on distribution are becoming increasingly common.

Advantages of Strategic Alliances:

The advantages or merits of strategic alliance are as follows:

1) Spread and Reduce Costs:

To produce or sell abroad, a company must incur certain fixed costs. At a small volume of business, it may be cheaper for it to contract the work to a specialist rather than handle it internally. A specialist can spread the fixed costs to more than one company.

2) Specialize in Competencies:

The resource-based view of the firm holds that each company has a unique combination of competencies. A company may seek to improve its performance by concentrating on those activities that best fit its competencies and by depending on other firms to supply it with products, services, or support activities for which it has lesser competency. Large, diversified companies are constantly realigning their product lines to focus on their major strengths.

3) Avoid or Counter Competition:

Sometimes markets are not large enough, to hold many competitors. Companies may then band together so that they do not have to compete with one another.

4) Secure Vertical and Horizontal Links:

There are potential cost savings and supply assurances from vertical integration. Horizontal links may provide finished products or components.

5) Gain Location-Specific Assets:

Cultural, political, competitive, and economic differences among countries create barriers for companies that want to operate abroad. When they feel ill-equipped to handle these differences, such companies may seek to collaborate with local companies that will help manage local operations.

6) Overcome Governmental Constraints:

Many countries limit foreign ownership. For example, the United States limits foreign ownership in airlines that service the domestic market and in sensitive defence manufacturers. China and India are particularly restrictive, often requiring foreign companies either to share ownership or make numerous concessions to help them meet their economic and sovereignty goals. Thus, companies may have to collaborate if they are to serve certain foreign markets.

7) Diversify Geographically:

By operating in a variety of countries (geographic diversification), a company can smooth its sales and earnings because business cycles occur at different times within the different countries. Collaborative arrangements offer a faster initial means of entering multiple markets. Moreover, if product conditions favour a diversification rather than a concentration strategy, there are more compelling reasons to establish foreign collaborative arrangements.

8) Minimize Exposure in Risky Environments:

Companies worry that political or economic changes will affect the safety of assets and their earnings in their foreign operations. One way to minimize loss from foreign political occurrences is to minimize the base of assets located abroad or to share them. A government may be less willing to move against a shared operation for fear of encountering opposition from more than one company, especially if they are from different countries and can potentially elicit support from their home governments.

Disadvantages of Strategic Alliances:

The Disadvantages or demerits of strategic alliance are as follows:

1) Adverse Selection:

One serious problem with alliances is the adverse selection of partners. Potential co-operative partners can misrepresent the skills, abilities, and other resources that they will bring to an alliance. The partner may promise to bring to the alliance certain resources that it either does not control or cannot acquire

2) Moral Hazard:

Partners in an alliance may possess resources and capabilities of high quality and of considerable value but fail to make them available to alliances partners.

3) Hold Up:

A hold up may take place even without an adverse selection. Once a strategic alliance has been formed, partners may make investments that have value only in the context of that alliance and in no other activities.

4) Access to Information:

Access to information is another drawback of strategic alliance. For collaboration to work effectively, one alliance partner (or both) may have to provide the other with information it would prefer to keep secret. It is often difficult to identify information needs ahead of time.

5) Distribution of Earnings:

This is the most serious problem between alliance partners. As the partners share risks and costs, they also share profits. This amounts to over-simplification of the issue. There are other financial considerations that can cause conflict

6) Potential Loss of Autonomy: Loss of autonomy is another potential drawback of a strategic alliance.

7) Changing Circumstances:

Changing circumstances may also affect the viability of a strategic alliance. The economic conditions that motivated the co-operative arrangement may no longer exist, or technological advances may render the alliance obsolete.

C. Merger:

Merger is an external strategy for growth of the organisation. A merger is a combination of two or more organisations in which one acquires the assets and liabilities of the other in exchange for shares or cash, or both the organisations are dissolved, and the assets and liabilities are combined and new stock is issued.

A merger is a combination of equals. Therefore it is usual for the Board of a merged company not to be dominated by the management of either of its predecessors. As a merger is necessarily an agreed (by the Boards) transaction, this is anyway likely as Directors are not likely to agree to a merger that would deprive too many of the Board of their jobs.

Mergers and Acquisitions (M&As) are very important market entry as well as growth strategy.

M&As have certain advantages. It may be used to acquire new technology. M&As would have the effect of eliminating/reducing competition. One great advantage of M&As in some cases is that it provides instant access to markets and distribution network. As one of the most difficult areas in international marketing is the distribution, this is sometimes the most important objective of M&As.

Reasons for Merger:

A number of mergers, takeovers and consolidation have taken place in the recent times. The major reason cited, for such mergers, is the liberalization of economy. Liberalization is forcing companies to enter new business, exit from others, and consolidate in some simultaneously.

The following are the other important reasons for mergers:

1) Economies of Scale:

An amalgamation company will have more reasons at its command than the individual companies. This will help in increasing the scale of operations and the economies of large Scale will be available.

2) Operating Economies:

A number of operating economies will be availed with the merger of two or more companies. Duplicating facilities in accounting, purchasing, marketing, etc., will be eliminated. Operating inefficiencies of small concerns will be controlled by the superior management emerging from the amalgamation. The amalgamated company will be in a better position to operate than the amalgamating companies individually.

3) Synergy:

Synergy refers to the greater combined value of merged firms than the sum of the values of individual units. Operating economies are one of the various synergy benefits of merger or consolidation. The other instances which may result into synergy benefits includes, strong R&D facilities of one firm merged with better organised facilities of another unit, enhanced managerial capabilities, the substantial financial resources of one being combined with profitable investment opportunities of the other.

4) Growth:

A company may not grow rapidly through internal expansion. Merger or amalgamation enables satisfactory and balanced growth of a company. It can cross many stages of growth at one time through amalgamation. Growth through merger or amalgamation is also cheaper and less risky. A number of costs and risk of expansion and taking on a new product line are avoided by the acquisition of a

going concern. By acquiring other companies a desired level of growth can be maintained by an enterprise.

5) Diversification:

Two or more companies operating in different lines can diversify their activities through amalgamation. Since different companies are already dealing in their respective lines there will be less risk in diversification. When a company tries to enter new lines of activities then it may face a number of problems in production, marketing, etc., where some concerns are already operating in different lines, they must have crossed many obstacles and difficulties.

6) Utilization of Tax Shield:

When a company with accumulate losses merges with a profit making company it is able to utilize tax shields. A company having losses will not be able to set-off losses against future profits, because it is not a profit making unit. On the other hand if it merges with a concern making profits then the accumulated losses of one unit will be set-off against the future profits of the other unit. In this way the merger or amalgamation will enable the concern to avail tax benefits.

7) Increase in Value:

One of the main reasons of merger or amalgamation is the increase in value of the merged company. The value of merged company is greater than the sum of the independent values of the merged company.

8) Elimination of Competition:

The merger or amalgamation of two or more companies will eliminate competition among them. The companies will be able to save their advertisement expenses thus enabling them to reduce their prices.

9) Better Financial Planning:

The merged companies will be able to plan their resources in a better way. The collective finances of merged companies will be more and their utilization may be better than in the separate concerns. It may happen that one of the merging companies has short gestation period while the other has the longer gestation period. The profits of the company with short gestation period will be utilized to finance the other company. When the company with the longer gestation period starts eating profits then it will improve financial position as a whole.

10) Economic Necessity:

It may force the merger of some units. If there are two sick units, government may force their merger to improve their financial position and overall working. A sick unit may be required to

merge with the healthy unit to insure better utilization of resources, improve and better management. Rehabilitation of sick units is a social necessity because their closure may result in unemployment, etc.

Types of Merger:

1) Horizontal Mergers:

Horizontal mergers take place when there is a combination of two or more organisations in the same business, or of organisations engaged in certain aspects of the production or marketing processes. For example, a company making footwear combines with another footwear company, or a retailer of pharmaceuticals combines with another retailer in the same business.

2) Vertical Mergers:

Vertical mergers take place when there is a combination of two or more organisations, not necessarily in the same business, which create complementary, either in terms of supply of materials (inputs) or marketing of goods and services (outputs). For example, a footwear company combines with a leather tannery or with a chain of shoe retail stores.

3) Concentric Mergers:

Concentric mergers take place when there is a combination of two or more organisations related to each other either in terms of customer functions, customer groups, or the alternative technologies used. Thus, a footwear company combining with hosiery firm making socks or another specialty footwear company, or with a leather goods company making purses, handbags, and so on.

4) Conglomerate Mergers:

Conglomerate mergers take place when there is a combination of two or more organisations unrelated to each other, either in terms of customer functions, customer groups, or alternative technologies used. For example, footwear company combining with pharmaceutical firm.

5) Reverse Mergers:

Reverse merger, also known as a back door listing, or a reverse merger, is a financial transaction that results in a privately-held company becoming a publicly-held company without going the traditional route of filing a prospectus and undertaking an initial public offering (IPO). Rather, it is accomplished by the shareholders of the private company selling all of their shares in the private company to the public company in exchange for shares of the public company.

Advantages of Merger:

1) Economies of Scale:

This occurs when a larger firm with increased output can reduce average costs. Different economies of scale include:

i) Technical Economies:

If the firm has significant fixed costs then the new larger firm would have lower average costs. ii) Bulk Buying:

Discount for buying large quantities of raw materials.

iii) Financial:

Better rate of interest for large company.

iv) Organisational:

One head office rather than two is more efficient.

2) International Competition:

Mergers can help firms deal with the threat of multinationals and compete on an international scale.

3) Mergers May Allow Greater Investment in R&D:

This is because the new firm will have more profit. This can lead to a better quality of goods for consumers.

4) Greater Efficiency:

Redundancies can be merited if they can be employed more efficiently.

Disadvantages of Merger:

1) Integration Difficulties:

These include combining two disparate corporate cultures, linking different financial and control systems, building effective working relationships (particularly when management styles differ) and resolving issues concerning the status of the newly acquired firm's executives.

2) Inadequate Evaluation of Target:

The failure to complete an effective due-diligence process (thorough evaluation of the target firm) often results in the acquiring firm paying an excessive premium (disproportionate to the performance gains).

3) Large Debt Burden:

Firms are often encouraged to utilize significant leverage to finance large acquisitions. The large debt burden may put the firm in a messy situation, especially when the returns are poor

4) Inability to Achieve Synergy:

The acquisitions, often, fail to achieve intended synergy because of various reasons (managerial failures, non-cooperation from employees, skepticism, emotional doubts, etc.).

5) Too much Diversification:

Over diversification may be counter productive. The merger mania that gripped the 1980s did not yield any concrete gains to conglomerates. In fact excessive diversification forced many of these firms to divest the under performing units after some time.

6) Too Large:

Increased size has its own inherent limitations. Achieving consistency in terms of decisions and actions may be difficult. Formalized rules and policies may come in the way of flexibility and innovation.

D. ACQUISITION:

Acquisitions is acquiring or purchasing an existing venture. It is one of the easy means of expanding a business by entering new markets or new product areas. An entrepreneur must be careful in structuring the payment so that he will not be financially overburdened. He must create a scope for phase wise payments so that the company generates funds to pay.

An acquisition strategy is based upon the assumption that companies for potential acquisition will be available, but if the choice of companies is limited, the decision may be taken on the basis of expediency rather than suitability.

The belief that acquisitions will be a time-saving alternative to waiting for organic growth to take effect may not prove to be true in practice. It can take a considerable amount of time to search and evaluate possible acquisition targets, engage in protracted negotiations and then integrate the acquired company into the existing organization structure.

The process of acquisition is a case of dominance of one company over the other. Here a bigger company will take over the shares and assets of the smaller company and either run it under the bigger company's name or might run it under a combined name.

An acquisition is a transaction in which a firm buys a controlling interest in another firm with the intention of either making it a subsidiary business or combining it with its current business or businesses. It is important to understand that for some firms, an acquisition is a one-time only event. For example, a firm using a differentiation business-level strategy might decide to acquire only one

other company because it has truly specialized skills that the local firm requires to create unique value for its customers. It is rare, though, for a firm to complete only a single acquisition.

Most firms involved with acquisitions form an acquisition strategy. An acquisition strategy is an action plan that the firm develops to successfully acquire other companies. An effective acquisition strategy enables significant firm growth.

Reasons for Acquisition:

1) Increased Market Power:

A primary reason for acquisitions is to achieve greater market power. Market power exists when a firm is able to sell its goods or services above competitive levels or when the costs of its primary or support activities are below those of its competitors. Market power usually is derived from the size of the firm and its resources and capabilities to compete in the marketplace. It is also affected by the firm's share of the market.

2) Overcoming Entry Barriers:

Barriers to entry are factors associated with the market or with the firms currently operating in it that increase the expense and difficulty faced by new ventures trying to enter that particular market.

Facing the entry barriers created by economies of scale and differentiated products, a new entrant may find acquiring an established company to be more effective than entering the market as a competitor offering a good or service that is unfamiliar to current buyers. In fact the higher the barriers to market entry, the greater the probability that a firm will acquire an existing firm to overcome them. Although an acquisition can be expensive, it does provide the new entrant with immediate market access.

3) Cost of New Product Development and Increased Speed to Market:

Developing new products internally and successfully introducing them into the marketplace often require significant investments of a firm's resources, including time, making it difficult to quickly earn a profitable return. Also of concern to firm's managers is achieving adequate returns from the capital invested to develop and commercialize new products. Acquisitions are another means a firm can use to gain access to new products and to current products that are new to the firm. Compared with internal product development processes, acquisitions provide more predictable returns as well as faster market entry.

4) Adequate and Easy Terms Working Capital:

Acquisition not only secures the necessary working plant and equipment more quickly than building up its own, but also helps the firm by making available desired amount of working capital. It means that by making available the much needed working capital, the problems of supply of inputs and distribution of final products are solved.

5) Access to Resourceful Management:

Management or managerial competencies play important role in running the business, in expanding it either by intensification or diversion and reaching new heights. The firms which have failed need both financial and managerial resources to repair the existing loss and achieving new heights of progress and prosperity. This is possible by acquisition

6) Increased Diversification:

Acquisitions are also used to diversify firms. Based on experience and the insights resulting from it, firms typically find it easier to develop and introduce new products in markets currently served by the firm. In contrast it is difficult for companies to develop products that differ from their current lines for markets in which they lack experience.

7) Reshaping the Firm's Competitive Scope:

The intensity of competitive rivalry is an industry characteristic that affects the firm's profitability. To reduce the negative effect of an intense rivalry on their financial performance, firms may use acquisitions to lessen their dependence on one or more products or markets. Reducing a company's dependence on specific markets alters the firm's competitive scope.

8) Learning and Developing New Capabilities:

Some acquisitions are made to gain capabilities that the firm does not possess. For example, acquisitions may be used to acquire a special technological capability. Research has shown that firms can broaden their knowledge base and reduce inertia through acquisitions.

Therefore, acquiring a firm with skills and capabilities that differ from its own helps the acquiring firm to gain access to new knowledge and remain agile.

Types of Acquisition:

There are four types of acquisitions:

1) Friendly Acquisition: Both the companies approve of the acquisition under friendly terms. There is no forceful acquisition and the entire process is cordial.

2) Reverse Acquisition: One way for a company to become publicly traded, by acquiring a public company and then installing its own management team and renaming the acquired company.

3) Back Flip Acquisition: A very rare case of acquisition in which, the purchasing company becomes a subsidiary of the purchased company.

4) Hostile Acquisition: Here, as the name suggests, the entire process is done by force. The smaller company is either driven to such a condition that it has no option but to say yes to the acquisition to save its skin or the bigger company just buys-off all its share, thereby establishing majority and hence initiating the acquisition.

Advantages of Acquisition:

The advantages of acquisition are as follows:

1) Assets Acquisition: While acquiring the buyer has an advantage of choosing exactly which assets to acquire (e.g., liquid assets, real estate or intellectual property), as well as which liabilities it can cover (leases, bank loans, mezzanine loans and so forth).

2) Gain Experience and Assets: One of the benefits of an acquisition is that the company can quickly gain the experience, goodwill and assets of the other business. If the acquired business can complement the business the company does, the merger can improve the overall efficiency. With the increase in staff and assets, the company can increase output and improve profits.

3) Excite the Shareholders: An acquisition can breed excitement among the shareholders. When shareholders of a public company hear of an acquisition, they tend to have a positive outlook on the value of (the company as well as the one for sale). Taking steps toward an acquisition often leads to an increase in the stock price and the equity of their investments.

4) Combining Organisation Cultures: One of the most important advantages of acquisition is that it combines the cultures of two different organisations.

5) Reducing Costs and Overheads: A company can reduce its costs and overheads through shared marketing budgets, increased purchasing power and lower costs.

6) Accessing Funds or Valuable Assets for New Development: Better production or distribution facilities are often less expensive to acquire than build. Look for target businesses that are only marginally profitable and have large unused capacity which can be bought at a small premium to net asset value.

Disadvantages of Acquisition:

The disadvantages of acquisition are as follows:

- 1) Cost:** Purchasing a larger company is expensive. The company may not have the cash available to buy the second firm, and if it does have enough cash, it will not be able to use this cash on other projects. If the company has to borrow money to purchase the second firm, this increases the company's total debt burden.
- 2) Employee Retention:** In an acquisition, the company will have employees at both firms performing similar jobs after the purchase is complete. The buyer commonly fires excess employees if it has too many workers doing the same tasks after the buyout- Because employees are concerned about a future layoff, some employees will start looking for other jobs or quit after the company announces its acquisition plan.
- 3) Productivity:** Combining two firms depends on the culture at each firm. A company that has a hierarchical and authoritarian structure may purchase a company which is much more flexible and allows workers more control over their job tasks. Workers may not be happy with the new management and productivity may decrease, if the purchaser makes many changes to previous workplace policies.
- 4) Value:** Valuation of the combination is important. The seller's assets include intangible assets such as brand strength and goodwill, which the buyer pays as part of the purchase price. The business acquisition itself can destroy some of these assets. If an oil company that is responsible for a major oil spill purchases a solar panel manufacturer, the goodwill of the solar firm may become impaired because of the buyer's negative reputation.

CHAPTER 4 PRODUCT POLICY DECISIONS

MEANING OF A PRODUCT

A product is anything that can be offered to satisfy a need or want.

A product consists of as many as there components: **Physical good(s) service(s) and idea (s).**

Products that are marketed include physical goods (automobiles, books etc), service (concerts, professional advice), persons (Mr A, B, C), places (Langano, Sodere), organizations. (Health association, social clubs), and ideas (family planning, safe driving) etc.

Stages of the new product development process

1. Generating new product ideas

New product development starts with an idea. A system must be designed for stimulating new ideas within an organization and then acknowledging and reviewing them promptly. Customers should also be encouraged to propose innovations.

2. Screening ideas

At this stage, new product ideas are evaluated to determine which one warrant further study. Typically, a management team screens the pool of ideas.

3. Business Analysis

A surviving idea is expanded in to a concrete business proposal. This means management (a) identifies product features (b) estimates a market demand, competition, and the products profitability (c) establishes a program to develop the product, and (d) assigns responsibility for further study of the products feasibility

4. Prototype development

If the result of the business analysis is feasible, then a prototype (or trail model) of the product is developed. In the cases of goods, a small quantity of the trail model is manufactured to designated specifications.

5. Market tests

Unlike the internal tests conducted during prototype development, this test involves actual customers. A new tangible product may be given to a sample of people for use in their households (in the case of consumer good) or their organization (a business good). Following this trail, consumers are asked to evaluate the product. Consumers use tests are less practical for services due to their intangible nature.

This stage in new product development often entails test marketing, in which the product is placed on sale in a limited geographic area. Results, including sales and repeat purchases, are monitored by the company that developed the product and perhaps by competitors as well.

6. Commercialization

In this stage, full-scale production and marketing programs are planned and finally, implemented, up to this point in development, management has virtually complete control over the product.

PRODUCT IDENTIFICATION

A. Branding

In developing a marketing strategy for individual products, the seller has to confront the branding decision, branding is a major issue in product strategy. On the one hand, developing a branded product requires a great deal of long-term investment spending, especially from advertising, promotion, and packaging.

Perhaps the most distinctive skill of professional marketers is their ability to create, maintain, protect, and enhance brands, marketers say that "Branding is the art and cornerstone of marketing." The American marketing association defines a brand as follows: -

"A Brand is a name, term, sign, symbol, or design, or a combination of them, intended to identify the goods or services of one seller or group of sellers and to differentiate them from those of competitors".

A brand is essentially a seller's promise to consistently deliver a specific set of features, benefits, and services to the buyers.

A brand name is the part of brand consisting of words, letters, and/or numbers that can be vocalized. A trademark is defined as a brand that is given legal protection. Therefore, trademark is a legal term meaning the words, names, or symbols that the law designates as trademarks.

The best brands convey a warranty of quality. But a brand is even a more complex symbol. A brand can convey up to six levels of meaning.

i) Attributes

A brand first brings to mind certain attributes. Thus, Mercedes suggests expensive, well built, well-engineered, durable, high prestige, high resale value, fast, and so on.

ii) Benefits

A brand is more than a set of attributes, customers are not buying attributes; they are buying benefits. Attributes need to be translated into functional and/or emotional benefits. The attribute "durable" could translate into the functional benefit, "I won't have to buy a new car every few years". The attribute "Expensive" might translate into the emotional benefit, "The car helps me feel important and admired". The attribute "well build" might translate into the functional and emotional benefit, "I am safe incase of an accident".

iii) Values:-

The brand also says something about the product values. Thus, Mercedes stands for high performance, safety, prestige, and soon. The brand marketer must figure out the specific groups of car buyers who are seeking these values.

iv) Culture:-

The brand may represent a certain culture. The Mercedes represents German culture. Organized, efficient, high quality.

v) Personality:-

The brand can also project a certain personality. If the brand were a person, an animal, or an object, what would come to mind? Some time it might take on the personality of an actual well-known person or spokesperson.

vi) User:-

The brand suggests the kind of consumers who buys or uses the product. The users will be those who respect the product's values, culture, and personality.

The challenge in branding is to develop a deep set of meanings for the brand. When the audience can visualize all six dimensions of a brand, the brand is deep otherwise it is shallow.

High brand equity provides a number of competitive advantages: -

- The company will enjoy reduced marketing costs because of high level of consumer's brand awareness and loyalty.
- The company will have more trade leverage in bargaining with distribution and retailers since customers expect them to carry the brand.
- The company can charge a higher price than its competitors because the brand has higher perceived quality.
- The company can more easily launch brand extension since the brand name carries high credibility.
- The brand offers the company some defense against fierce price competition

A brand name needs to be carefully managed so that its brand equity doesn't depreciate. Thus requires maintaining or improving over time brand awareness, brand perceived quality and functionality, positive brand associates, and so on.

B. Packaging

Even after a product is developed and branded, strategies must still be developed for other product related aspects of the marketing mix. One such product feature, and a critical one for some products, is packaging, which consists of all activities of designing and producing the container or wrapper. Thus packaging is a business function and a package is an item.

Packaging can be defined as follows:

"Packaging includes the activities of designing and producing the container or wrapper for a product."

The container or wrapper is called the package. The package might include upto three levels of material. Thus, old spice, after shave lotion is in bottle (primary package) that is in a cardboard box (secondary package) that is in a corrugated box (shipping package) containing six-dozen boxes of old spice.

In recent times, packaging has become a potent marketing tool. Well-designed packages can create convenience value for the consumer and promotional value for the producer.

Packaging and the resulting package are intended to serve several vital purposes.

i) Protect the product on its way to the consumer:-

A package protects products during shipment. Furthermore, it can prevent tampering with products, notably medications and food products, in the warehouse or the retail store.

ii) Provide protection after the product is purchased:- Compared with bulk (that is unpackaged) items, packaged goods generally are more convenient, cleaner, and less susceptible to losses form evaporation, spilling and spoilage.

iii) Be part of a company's trade marketing program:-

A product must be packaged to meet the needs of wholesaling and retailing middlemen. For instance, a packages size and shape must be suitable for displaying and stacking the product in the store.

iv) Be part of a company's consumer marketing program:-

Packaging helps identify a product and thus may prevent substitution of competitive product. At the point of purchase such as supermarket aisle - the package can serve as a 'silent sales person'

Ultimately, a package may become a product's differential advantage, or at least a significant part of it. In the case of convenience goods and operating suppliers buyers feel that are well-known brand is about as good as another. Thus a feature of the package - reusable jar, self-contained applicator etc, might differentiate these types of a product.

C. Labeling

Labeling which is closely related to packaging is another product feature that requires managerial attention. A label is a part of a product that carries information about the product and the seller. A label may be part of the package, or it may be a tag attached to the product. Obviously there is a close relationship among labeling, packaging, and branding.

Types of labels:-

Labels fall into three primary kinds:-

i) A brand label:-

It is simply the brand name applied to the product or package.

ii) A descriptive label: It gives objectives information about the products' use construction, care, performance, and/or other pertinent features ingredients and nutritional contents.

iii) A grade label: It identifies the products judged quality with a letter, number, or word. Canned peaches are grade labeled A,B,C, corn and wheat are grade labeled 1 & 2.

Brand labeling is an acceptable form of labeling, but it does not supply sufficient information to a buyer. Descriptive labels provide more product information but not necessarily all that is needed or desired by a consumer in making a purchase decision.

Functions of Labeling

Labeling performs several functions. Some of which are illustrated below:-

- The label identifies the product or brand
- The label might also describe several things about the product, which made it, where it was made, when it was made, its contents, how it is to be used, and how to use it safely.
- The label might promote the product through attractive graphics

A. Physical or Mandatory Requirements and Adaptation

A product may have to change in a number of ways to meet physical or mandatory requirements of a new market, ranging from simple package changes to total redesign of the physical core product. A recent study reaffirmed the often-reported finding that mandatory adaptations were more frequently the reason for product adaptation than adapting for cultural reasons.

Legal, economic, political, technological, and climatic requirements of the local marketplace often dictate product adaptation. Laws that vary among countries usually

set specific package sizes and safety, and quality standards. To make a purchase more affordable in low-income countries, the number of units per package may have to be reduced from the typical quantities offered in high income countries.

Changes may also have to be made to accommodate climatic differences. General Motors of Canada, for example, experienced major problems with several thousand Chevrolet automobiles shipped to a Middle east country; it was quickly discovered they were unfit for the hot, dusty climate. Supplementary air filters and different clutches had to be added to adjust for the problem. Even crackers have to be packaged in tins for humid areas.

B. Product Alternatives

When a company plans to enter a market in another country, careful consideration must be given to whether or not the present product lines will prove adequate in the new culture. Will they sell in quantities large enough and at prices high enough to be profitable? If not, what other alternatives are available? The marketer has at least four viable alternatives when entering a new market: (1) sell the same product presently sold in the home market (domestic market extension strategy); (2) adapt existing products to the tastes and specific needs in each new country market (multi-domestic market strategy); (3) develop a standardized product for all markets (global market strategy); or (4) acquire local brands and reintroduce.

An important issue in choosing which alternative to use is whether or not a company is starting from scratch (i.e., no existing products to market abroad), whether it has products already established in various country markets, or whether there are local products that can be more efficiently developed for the local market than other alternatives.

For a company starting fresh, the prudent alternative is to develop a global product. If the company has several products that have evolved over time in various foreign markets, then the task is one of repositioning the existing products into global products. In some cases, a company encounters a market where local brands are established and the introduction of a company brand would take too long and be more costly than acquiring the local brand. Nestle and Unilever have used this approach effectively in Eastern Europe and Russia.

C. Screening Products for Adaptation

Evaluating a product for marketing in a country market requires a systematic method of screening products to determine if there are cultural resistances to overcome and/or physical or mandatory changes necessary for product acceptance. Only when the psychological (or cultural) and physical dimensions of the product, as determined by the country market, are known can the decision for adaptation be made. Products can be screened by using the

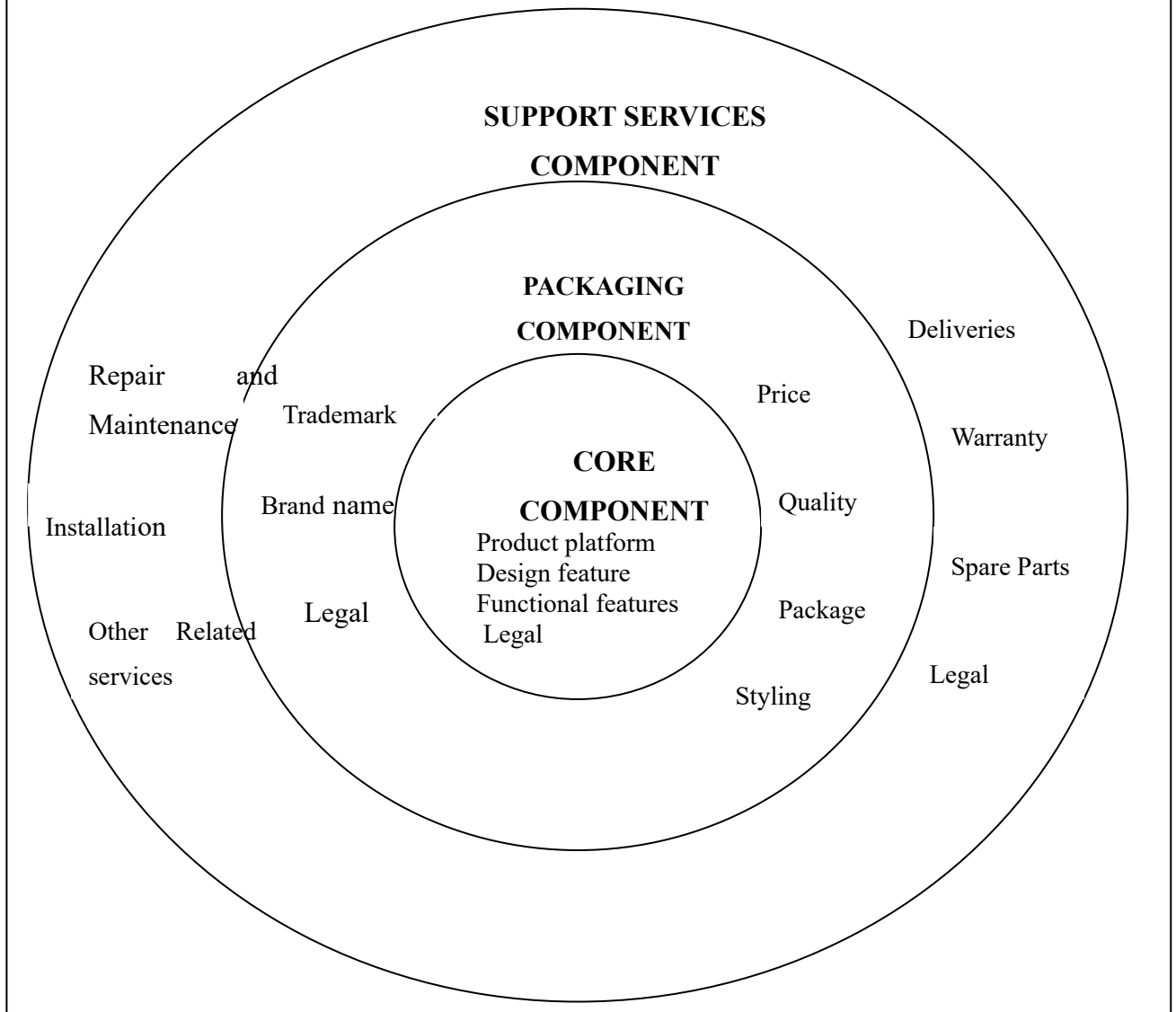
Analysis of Product Component discussed below to determine if there are mandatory or physical reasons why a product must be adapted.

Before entering a market the international marketer can analyze the components of a product to determine what features need to be adapted to ensure that the product meets both the market perceived quality and performance quality.

Analysis of Product Components

A product is multidimensional, and the sum of all its features determines the bundle of satisfactions (utilities) received by the consumer. To identify all the possible ways a product may be adapted to a new market it helps to separate its many dimensions into three distinct, components as illustrated in Figure 7-1, the Product Component Model. By using this model, the impact of the cultural, physical, and mandatory factors that affect a market's acceptance of a product can be focused on the *core component*, *packaging component*, and *support services component*. These components include all the product's tangible and intangible elements and provide the bundle of utilities the market receives from use of the product.

Figure 7-1 Product Component Model



Core Component

The core component consists of the physical product - the platform that contains the essential technology - and all its design and functional features. It is on the product platform that product variations can be added or deleted to satisfy local differences. Major adjustments in the platform aspect of the core component may be costly because a change in the platform can affect product processes and thus require additional capital investment. However, alterations in design, functional features, flavors, color, and other aspects can be made to adapt the product to cultural variations.

Packaging Component

The packaging component includes style features, packaging, labeling, trademarks, brand name, quality, price, and all other aspects of a product's package. As with the core component, the importance of each of these elements in the eyes of the consumer depends on the need that the product is designed to serve. Packaging components frequently require both discretionary and mandatory changes. For example, some countries require labels to be printed in more than one language, while others forbid the use of any foreign language. Elements in the packaging component may incorporate symbols, which convey an unintended meaning and thus must be changed.

There are countless reasons why a company might have to adapt a product's package. In some countries, law stipulates specific bottle, can, package sizes, and measurement units. If a country uses the metric system, it will probably require that weights and measurements conform to the metric system. Such descriptive words as "giant" or "jumbo" on a package or label may be illegal. High humidity and/or the need for long shelf life because of extended distribution systems may dictate extra-heavy packaging for some products. A poorly packaged product conveys an impression of poor quality to the Japanese. It is also important to determine if the packaging has other uses in the market.

Labeling law varies from country to country and does not seem to follow any predictable pattern. In Saudi Arabia, for example, product names must be specific. "Hot Chili " will not do: it must be "Spiced Hot Chili." Prices are required to be printed on the labels in Venezuela, but in Chile it is illegal to put prices on labels or in any way suggest retail prices. Coca-Cola ran into a legal problem in Brazil with its Diet Coke. Brazilian law interprets diet to have medicinal qualities. Under the law, producers must give daily recommended consumption on the labels of all medicines. Coca Cola had to get special approval to get around this restriction. Chinese labeling law requires that food products must have their name, contents, and other specifics listed clearly in Chinese printed directly on the package.

Labeling laws create a special problem for companies selling products in various markets with different labeling laws and small initial demand in each. Forward-thinking manufacturers with wide distribution in Asia are adopting packaging standards comparable to those required in the European Union, by providing standard information in several different languages on the same package. A template is designed with a space on the label reserved for locally required content, which can be inserted depending on the destination of a given production batch.

Support Services Component

The support service component includes repair and maintenance, instructions, installation, warranties, deliveries, and the availability of spare parts. Many other wise successful marketing programs have ultimately failed because little attention was given to this product component. Repair and maintenance are especially difficult problems in developing countries.

Literacy rates and educational levels of a country may require a firm to change a product's instructions. A simple term in one country may be incomprehensible in another. In rural Africa, for example, consumers had trouble understanding that Vaseline Intensive Care lotion is absorbed into the skin. Absorbed was changed to soaks into, and the confusion was eliminated. The Brazilians have successfully overcome low literacy and technical skills of users of the sophisticated military tanks they sell to Third World countries. They include videocassette players and videotapes with detailed repair instructions as part of the standard instruction package. They also minimize spare parts problems by using standardized, off -the-shelf parts available throughout the world.

The Product Component Model can be a useful guide in examining adaptation requirements of products destined for foreign markets. A product should be carefully evaluated on each of the three components for mandatory and discretionary changes that may be needed.

CHAPTER 5: PROMOTION STRATEGY IN INTERNATIONAL CONTEXT

INTRODUCTION

Modern marketing calls for than developing a good product pricing it attractively, and making it accessible to target customers. Companies must also communicate with their present and potential customers, retailers, suppliers, other stakeholders, and the general public. Every company is inevitable cast into the role of communicator and promoter. For most companies, the question is not whether to communicate but rather what to say, to whom, and how often.

The purpose of promotion is both to communicate with buyers and to influence them. Effective promotion requires an understanding of the process of persuasion and how this process is affected by environmental factors. The potential buyer must not only receive the desired information, but also be able to comprehend that information. Furthermore, the information must be sufficiently potent to motivate this buyer to react positively.

To communicate effectively with someone means that certain facts and information are shared in common with that person. Communication is basically a five-stage process consisting of source, encoding, information, decoding and destination.

Encoding is a step that transforms the idea or information into a form that can be transmitted (eg. written or spoken words). For a receiver to understand the coded information, that person must be able to decode these words.

ELEMENTS OF PROMOTION

The marketing communications mix (also called the promotion mix consists of five major modes of communication:

Advertising:- Any Paid form of non personal presentation and promotion of ideas, goods, or services by an identified sponsor

Sales promotion: A variety of short-term incentives to encourage trial or purchase of a product or service

Public relation & Publicity: A variety of programs designed to promote and/or protect a company's image or its individual products.

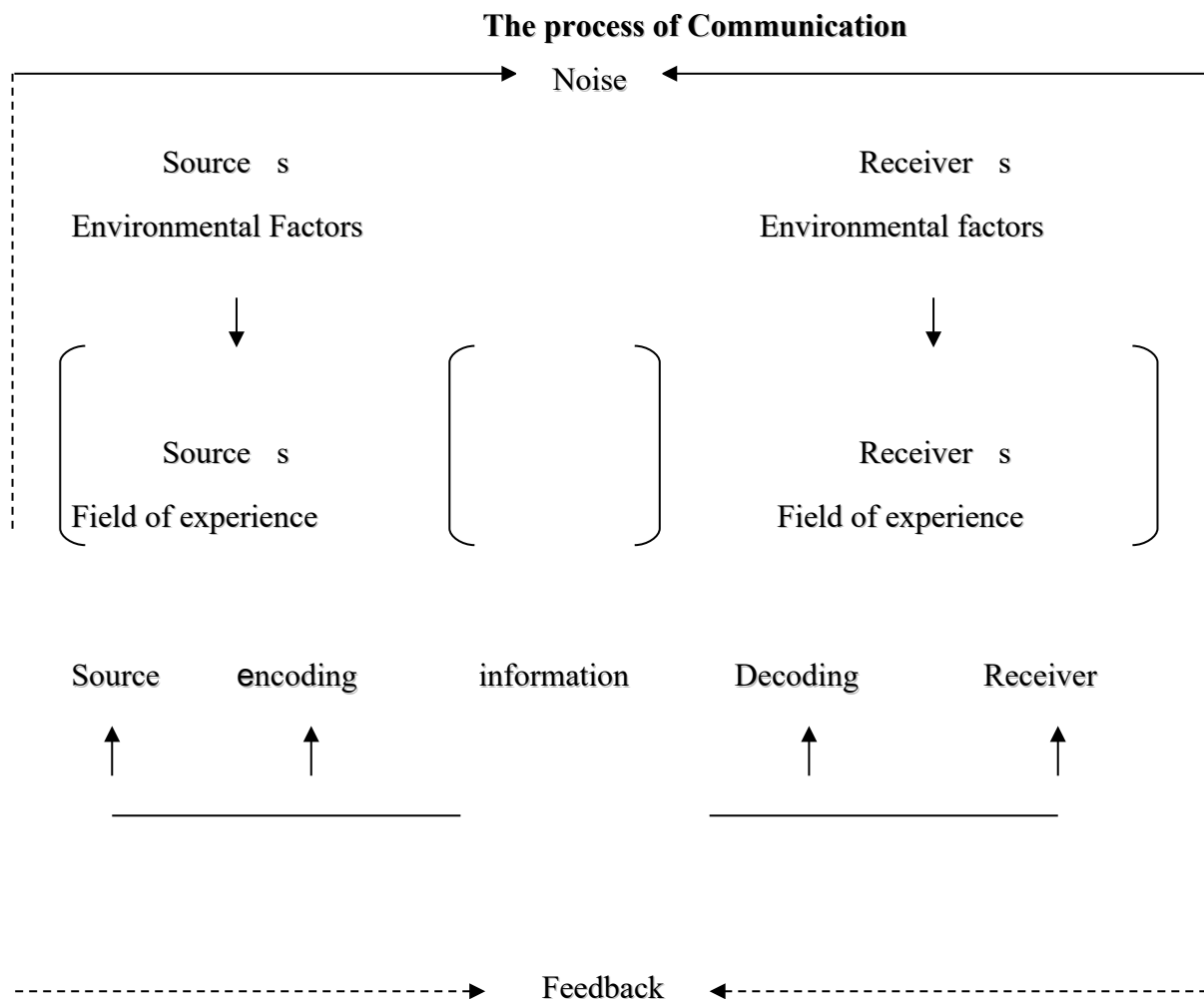
Personal selling: Face -to -Face interaction with one or more prospective purchasers for the purpose of making presentation, answering questions, and processing orders.

Direct Marketing: Use of mail, telephone, fax, e-mail, and other non personal contact tools to communicate directly with or solicit a direct response from specific customers and prospects.

The starting point in the communication process is thus an audit of all the potential interactions target customers may have with the product and company. For example, someone purchasing a new computer would talk to others, see television ads, read articles in newspaper and magazines, and observe computers in a store.

The marketer needs to assess which of these experiences and impressions will have the most influence at the different stage of the buying process. This understanding will help marketers allocate their communication dollars more efficiently.

To communicate effectively, marketers need to understand the fundamental elements underlying effective communication. The major parties in a communication - sender & receiver. The major communication tools - message & media. The major communication functions - encoding, decoding, response and feedback. The last element in the system is noise.



The model underscores the key factors in effective communication. Senders must know what audience they want to reach and what responses they want. They must encode their messages in a way that takes into account how the target audience usually decodes messages. They must also

transmit the message through efficient media that reach the target audience and develop feedback channels to monitor the receivers response to the message.

Personal Selling

The goal of all marketing efforts is to increase profitable sales by offering want satisfaction to consumers over the long run. Personal selling is by far the major promotional method used to reach this goal. Personal selling can be defined as follows:-

*" Personal selling is the personal communication of information to persuade somebody to buy something"*¹

*According to AMA, personal selling is an oral presentation in a conversation with one or more prospective purchases for the purpose of making sales. Personal selling is more known commonly as salesmanship.*²

Personal selling is the individual, personal communication of information, in contrasts to the mass, impersonal communication of advertising, sales promotion, and other promotional tools.

This means that the personal selling is more flexible than these other tools. Sales people can tailor their presentation to fit the needs and behavior of individual customers. Sales people can see their customer's' reaction to a particular sales approach and make adjustments on the spot.

Also, personal selling usually can be focused or pinpointed on prospective customers, thus minimizing wasted effort. In contrast, much of the cost of advertising is spent on sending messages to people who is no way are real prospects.

Another advantage of personal selling is that it's goal is to actually make a sale. Other forms of promotion are designed to move a prospect closer to a sale. Advertising can attract attention, provide information, and arouse desire, but seldom does it stimulate buying action or complete the transfer of title from seller to buyer.

A major limitation of personal selling is its high cost. Even though personal selling can minimize wasted effort, the cost of developing and operation sales force is high. Another disadvantage is that a company often is unable to attract the quality of people needed to do the job.

Public Relation/Publicity

Like advertising and sales promotion, public relation is an important marketing tool. Not only must the company relate constructively to its customers, suppliers and dealers, but it must also relate to a large set of interested publics. Public relation may be defined as follows:

"A public is any group that has an actual or potential interest in or impact on a company's ability to achieve its objectives. Public relations (PR) involve a variety of programs designed to promote and/or protect a company's image or its individual products."

Public relations is a management tool designed to favorably influence attitudes toward an organization, its products, and its policies. It is an often-overlooked form of promotion. In most organizations this promotional tool is typically a stepchild, relegated far behind personal selling, advertising, and sales promotion. There are several reasons for management's lack of attention to public relations:

Public relation departments perform the following five activities, not all of which support marketing objectives.

1. Press relation -Presenting news and information about organization in the most positive light
2. Product publicity - Sponsoring various efforts to publicize specific products
3. Corporate Communication -Promoting understanding of the organization with internal and external communications
4. Lobbying -Dealing with legislators and government officials to promote or defeat legislation and regulation

5. Counseling - Advising management about public issue and company positions and image. This includes advising in the event of a product mishap when the public confidence in a product is shaken.

Publicity is any communication about an organization, its products, or policies through the media that is not paid for by the organization. Publicity usually takes the form of a news story appearing in a mass medium or an endorsement provided by an individual, either informally or in a speech or interview.

Publicity is the non-personal stimulation of demand that is not paid for by a sponsor that has released news to the media. Advertising and publicity are quite similar in the sense that both require media for a non-personal presentation of the promotional message. One difference between the two is that with publicity a company has less control over how the message will be used by the media. Another difference is that publicity is presumed to be free in the sense that the media are not paid for the presentation of the message to the public.

There are three means for gaining good publicity:

1. Prepare a story (called a news release) and circulate it to the media. The intention is for the selected newspapers, television stations, or other media to report the information as news.
2. Personal communication with a group. A press conference will draw media representatives if they feel the subject or speaker has news value. Company tours and speeches to civic or professional groups are other forms of individual to group communications.
3. One on one personal communication often called lobbying. Companies lobby legislators or other powerful people in an attempt to influence their opinions, and subsequently their decisions.

Publicity can help to accomplish any communication objective. It can be used to announce new products, publicize new policies, or report financial performance. If the message, person, or group, or event is viewed by the media as news worthy.

Sales Promotion

Sales promotion consists of those promotional activities other than advertising, personal selling, and publicity. As such, any promotional activities that do not fall under the other three activities of the promotion mix are considered sales promotion.

The techniques of sales promotion are varied and numerous. The common ones used are coupons, games contests, price-offs, demonstrations, premiums, samples, money, refund offers, and trading stamps. Sales promotion is a key ingredient in marketing campaign.

It can be defined as follows: "Sales promotion consists of a diverse collection of incentives tools mostly short term designed to stimulate quicker and/or greater purchase of particular products by consumer or the trade."

In other words sales promotion is a demand stimulating devices designed to supplement advertising and facilitate personal selling. Where advertising offers a reason to buy, sales promotion offers an incentive to buy. Sales promotion includes tools for consumer promotion (samples, coupons, cash refund offers, prices off, premium, prizes, patronage rewards, free trails, warranties, tie in promotions, cross promotions, point of purchase displays, and demonstrations). Trade promotion (prices off, advertising, display allowances, and free goods). And business and sales force promotion (trade shows and conventions, contents for sales representatives, and specialty advertising).

Sales promotion are conducted by producers and middlemen. The target for producers' sales promotions may be middlemen, end users households or business users or the producer's own sales force, middlemen direct sales promotion at their sales people or prospects further down the channel of distribution.

Sales promotion is effective when a product is first introduced to a market. It also marks well with existing products that are highly competitive and standardized especially when they are of low unit value and have high turnover. Under such conditions sales promotion is needed to gain that extra competitive advantage.

The effectiveness of sales promotion can be tempered by psychological barriers, and this fact is applicable to middlemen as well as consumers. Some retailers are reluctant to accept manufacturers coupons because they fear they will not be reimbursed. Consumers, on the other hand, may review rebates, mail-in coupons, and money-back guarantees with suspicion, thinking that something must be wrong with the product.

International marketers need to confirm the validity of a statement concerning the effectiveness of a sales promotion technique. Sometimes, casual observation and hearsay have a way of making a particular claim become a statement of fact without support of empirical evidence.

Sales Promotion Tools

Let us see how certain sales promotional tools might be affected by local regulations.

i) Premium & Gifts

Most European countries have a limit on the value of the premium given. Colgate was sued by a local blade manufacturer in Greece for giving away razor blades with shaving cream. Austria considered premiums to be a form of discriminatory treatment toward buyers.

ii) Price Reductions, Discounts and Sales

Austria has a discount law prohibiting cash reductions that give preferential treatment to different groups of customers. Discounts in Scandinavia are also restricted. In France, it is illegal to sell a product for less than its cost. In Germany, marketers must notify authorities in advance if they plan to have a sale.

iii) Samples

Germany restricts door-to-door free samples that limit population coverage as well as the size of the sample pack. The USA does not allow alcoholic beer to be offered as a free sample.

iv) Games and Contests

In USA games, or contests not become illegal lottery, a company must make certain that at least one of the three elements chance, consideration, and price-is missing. Also, a state government's prior approval may be required.

Sales promotion should be included in a company's promotion plans, along with advertising and personal selling. This means setting sales promotion objectives and strategies, determining sales promotion objectives and strategies, determining a sales promotion budget, selecting appropriate sales promotion techniques, and evaluating the performance of sales promotion activities.

One problem management faces is that many sales promotion techniques are short run, tactical actions, coupons, premiums, and contests, for example, are designed to produce immediate (but short-lined) responses. As a result, they tend to be used stopgap measures to reverse in expected sales decline rather than as integrated parts of a marketing program. The objectives of a sales promotion may be the following:

- Stimulating business user or household demand for a product
- Improving the marketing performance of middlemen and sales people
- Supplementing advertising and facilitating personal selling.

One sales promotion technique may accomplish one or two but probably not all of these objectives.

The choice of sales promotion techniques should be dictated by the objectives of the total marketing program. Consider the following situations and the different strategies available:

A firm's objective is to increase sales by entering new geographic markets. A pull strategy is one way to encourage product trial and lure consumers away from familiar brands. Possible sales promotion tactics are coupons, cash rebates, free samples, and premiums.

A firm's objective is to protect market share in the face of intense competition. This goal suggests a push strategy to improve retailer performance and goodwill's Training retailers' sales people, supplying effective point of purchase displays, and granting advertising allowances would be appropriate sales promotion options.

Evaluating the effectiveness of sales promotion is much easier and the results more accurate than evaluating the effectiveness of an advertising. For example, to a premium offers or a coupon with a specified closing date can be counted and compared to a similar period where there were no premiums or coupons offered. It is easier to measure sales promotion because:-

- a) Most sales promotion have definite starting & ending points
- b) Most sales promotions are designed to impact sales directly

However, there are some pitfalls in measuring sales promotion effects. First, not all sales promotions meet the conditions just mentioned. For instance, training given to a distributor's sales force may be valuable, but may not produce immediate results. Second, current sales promotion results may be inflated by sales "Stolen" from the future. That is, a sales promotion may get buyers to act now when they would have brought the product in the future anyway. An indication of this cannibalizing effect is a lower level of sales after the promotion ends compared to before the sales promotion began. Third, any attempt at measurement must take into consideration external conditions such as the behavior of competitions and the state of the economy. A firm's market share may not increase following an expensive sales promotion. For example, a promotion may have offset the potentially damaging impact of a competitions promotional activity.

Advertising

Advertising, sales promotion, and public relations are the mass communication tools available to customers. As its name suggests, mass communication uses the same message for everyone in an audience. The mass communicator trades off the advantage of personal selling, the opportunity to tailor a message to each prospective customer, for the advantage of reaching many people at a lower cost per person. Advertising is one of the most common tools companies use to direct persuasive communication to target buyers and publics.

Advertisers include business firms but also museums, charitable organizations, and government agencies that advertise to various target publics. Ads are a cost effective way to disseminate messages, whether to build brand preference or to educate a nation's people to avoid hard drugs.

Meaning

"Advertising is any paid form of non personal presentation and promotion of ideas, goods, or services by an identified sponsor."

The purpose of advertising is to sell something a good, service, idea, person, or place either now or later. This goal is reached by setting specific objectives that can be expressed in individual advertisement that are incorporated into an advertising campaign. Thus, the immediate objective of an advertisement may be to move target customers to the next stage in the hierarchy say, from awareness to interest.

These objectives must flow from prior decisions on the target market, market positioning, and marketing mix. The marketing positioning and marketing mix strategies define the job that advertising must do in the total marketing program.

Advertising objectives can be classified according to whether their aim is to inform, persuade, or remind:

1. Informative advertising:- figures heavily in the pioneer stage of a product life category, where all objectives is to build primary demand.
2. Persuasive advertising:- becomes important in the competitive stage, where a company's objective is to build selective demand for a particular brand. Some persuasive advertising has moved into the category of comparative advertising, which seeks to establish the superiority of one round through specific compression of one or more attributes with one or more brands in the product class.
3. Reminder Advertising:- is highly important with mature products. A related form of advertising is reinforcement advertising, which seeks to assure current purchasers that they have made the right choice.

The choice of advertising objective should be based on a thorough analysis of the current marketing situation. For example, if the product class is mature, the company is the market leader, and brand usage is low, the proper objective should be to stimulate more brand usage. If the product class is new, the company is not the market leader, but the brand is superior to the leader, then the proper objective is to convince the market of the brand's superiority.

Advertising Media

The appeal and the target audience determine the message and the choice of media. Advertisers need to make decisions at each of three successive levels to determine which specific advertising media to use:-

- Which type of media will be used?

Newspaper, television, radio, magazine, or direct mail? What about the less prominent media of billboards, and yellow pages?

- Which category of the selected medium will be used?

Television has network and cable. Magazines include general interest and special interest categories. And there are national as well as local newspaper.

- Which specific media vehicles will be used?

An advertiser that decides first on radio and then on local stations must determine which stations to use each city.

Media selection involves finding the most cost effective media to deliver the desired number of exposure to the target audience.

Here are some general factors that will influence media choice:-

1. Objective of the advertisement

The purpose of a particular advertisement and the goals of the entire campaign influence which media to use. For example, if an advertiser wants to induce quick action, newspaper or radio may be the medium to use.

2. Audience Coverage

The audience reached by the medium should match the geographic area in which the product is distributed. Furthermore, the selected medium should reach the desired types of prospects with a minimum of wasted coverage. Wasted coverage occurs when an advertisement reaches people who are not prospects for a product.

3. Requirements of the message

The medium should fit the message. For example, food products, floor coverings, and apparel are best presented visually. If the advertiser can use a very brief message, as is common with reminder advertising, billboards may be a suitable medium.

4. Media Cost

The cost of each medium should be considered in relation to the amount of funds available to pay for it and its reach or circulation.

Media is a vehicle through which an advertiser communicates their message to likely customers or prospects with a view to influencing them in terms of the advertising objectives. The advertising media can be classified on the following basis. Advertising can be affected in several ways by local regulations. The availability of media (or the lack of it) is one example, when and how much media time and spaces are made available, if at all, is determined by local authorities. Belgium prohibits the use of electricity for advertising purposes between midnight and 8:00 AM. Greece and South Korea ban the erection of new signs. Furthermore, nationalism may intrude in the form of a ban on the use of foreign languages and materials in advertising. According to the World Health Organization, nations with complete bans on cigarettes advertising are Norway, Finland, Italy, Algeria, Jordan, Sudan, Bulgaria etc and those with partial bans include Senegal, Canada, Egypt, Belgium, Denmark, France etc.

International advertising is the practice of advertising in foreign or international media when the advertising campaign is planned, directly or indirectly, by an advertiser from another country. To advertise overseas, a company must determine the availability (or unavailability) of advertising media. Media may not be readily available in all countries or in certain areas within the countries. The advertising media widely in use are:

1. Television

Television combines motion, sound, and special visual effects. Products can be demonstrated as well as described on TV. It offers wide geographic coverage and flexibility in when the message can be presented. However, television is a relatively expensive medium. In most countries, television is taken for granted because it is available everywhere and in color. Outside USA, or even in other advanced nations, it is a different story altogether.

In most countries, television is not available on a nationwide basis because of the lack of TV Stations, Cable TV, Color TV for the poor, is a rarity. Nevertheless, the viewing habits of people of lower income should not underestimate because of the group-viewing factor. I.e. A TV set in a village hall can attract a large number of viewers, resulting in a great deal of interaction among the villagers in terms of conversation about the advertising products. In many countries, TV stations are state controlled and government operated because of military requirements. As such, the stations are managed with the public welfare rather than a commercial objective in mind. The programming and advertising are thus closely controlled. The programs shown may vary widely and are usually dubbed in the local languages.

2. Radio

A radio set is inexpensive and affordable even among poor people. It is virtually a free medium for listeners: the programs are free and the costs of operating and maintaining a radio set are almost negligible. Furthermore, illiteracy poses no problem for this advertising medium. As a communication medium, radio is entertaining, up-to-date and portable. The medium penetrates from the highest to the lowest socio-economic levels, with Fm stations being preferred by high-income and better-educated listeners. Not surprisingly, radio commands the largest portion of advertising expenditures in a great number of markets.

Radio is the most effective media that has enjoyed a rebirth as an advertising and cultural medium. When interests on television increased, radio audiences (especially for national network radio) declined so dramatically that some people predicted radio's demise. Radio makes only an audio impression, relying entirely on the listener's ability to retain information heard and not seen. Also

audience attention is often at a low level, because radio is frequently used as background for working, studying, or some other activity.

3. News Papers

Press advertising includes advertising in newspaper, magazines, trade journals, & business directory. The news paper is the most popular form of advertising. It constitutes a valuable medium for disseminating news and molding public opinions and therefore plays an important role in social and political life.

As an advertising medium, newspaper is flexible and timely. Advertising can be inserted or cancelled on very short notice, and can vary in size from small classifieds to multiple pages. Pages can be added or dropped, so newspapers are not limited. Newspapers can be used to reach an entire city, or, where regional editions are offered, selected areas.

Cost per person reached is relatively low. On the other hand, the life of newspapers is very short they are discarded soon after being read. They are viewed as providing fairly complete coverage of a local market. Also, because newspapers don't offer much format variety, it is difficult to design advertisement that stands out. In virtually all-urban areas of the world, the population has access to daily newspapers. In fact, the problem of the advertiser is not one of having too few newspaper but rather one of having too many of them. Newspapers in communist countries are controlled by the government and are thus used for propaganda purpose. China's newspapers, for example, tend to carry news items that the government deems to express some moral and social value. Furthermore, with so many newspapers dividing a small market, it is expensive to reach the entire market. There are some three hundred eighty and eighty hundred newspapers in Turkey and Brazil, respectively. With advertisements in just one paper, the reach would be quite inadequate.

4. Magazines

Marketers of international products have the option of using international magazines that have regional editions (e.g. Time, Business week, Newsweek, and life). In the case of Reader's Digest, local language editions are distributed. Local (i.e. national) business magazines are good vehicle to reach well-defined target audience. Magazines are the medium to use when high quality printing and color are desired in advertising. Magazines can reach a national market at a relatively low

cost per reader. Through special interest magazines or regional editions of general interest magazines, an advertiser can reach a selected audience with a minimum of wasted circulation.

5. Trade Journals

are the medium used by an advertiser to reach among a particular class of persons such as doctors and engineers. Thus, where the objective of advertising is to reach such a specific class of persons, trade journals become very suitable as a form of advertising.

6. Business Directory

Yellow pages as we know it today a printed directory of local business names and phone numbers organized by type of product has been around since the late 1800's. Yellow pages advertising revenue exceeded both radio and magazines.

7. Screen (Cinema)

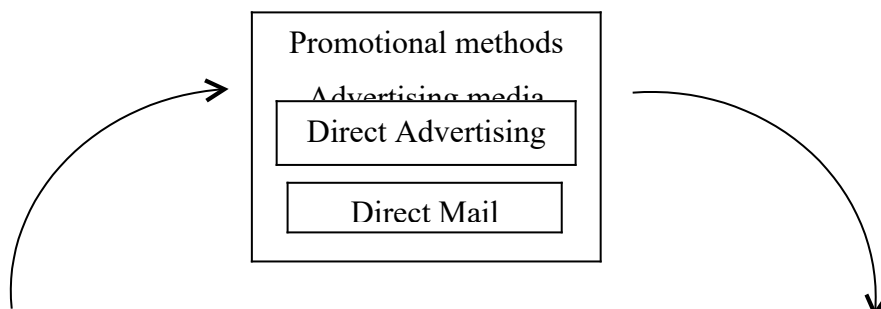
In virtually all countries, the cinema is a favorite activity for social gathering. People are avid moviegoers because of the limited television broadcasting and because of people's natural desire to go out to place of social gathering. Cinema advertising has several advantages. It has impact of outdoor advertising without the drawback of being stationary. It has sight and sound like television but with better quality. Furthermore, cinema advertising has a true captive audience. A disadvantage is that some moviegoers may result having to watch commercials.

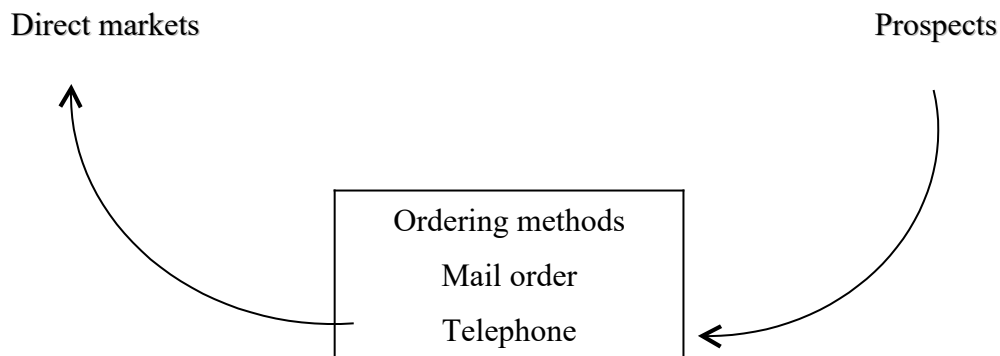
Direct Marketing

Direct marketing is the total of activities by which products and services are offered to market segments in one or more media for informational purposes or to solicit a direct response from a present or prospective customer or contributor by mail, telephone, or personal visit. As a system, direct marketing has two distinct components:

(1) Promotion and

(2) Ordering/delivery





Direct Advertising is media consists of direct mailings and all forms of print advertisement distributed directly to prospects through a variety of methods. (i.e. Advertising materials distributed door to door, on the street or inside the store etc).

A. International Advertising

One of the most widely debated policy areas pertaining to the degree of specialized advertising necessary from country to country. One view sees advertising customized for each country or region because every country is seen as posing a special problem. Executives with this viewpoint argue that the only way to achieve adequate and relevant advertising is to develop separate campaigns for each country. At the other extreme are those who suggest that advertising should be standardized for all markets of the world and overlook regional differences altogether.

A global perspective directs products and advertising toward worldwide markets rather than multiple national markets. The seasoned international marketer or advertiser realizes the decision

for standardization or modification depends more on motives for buying than on geography. Advertising must relate to motives. If people in different markets buy similar products for significantly different reasons, advertising must focus on such differences. For example, an advertising program developed by Chanel, the perfume manufacturer, failed in the United States although it was very popular in Europe. Admitting failure in their attempt to globalize the advertising, one fragrance analyst commented, "There is a French-American problem." The French concept of prestige is not the same as America's. On the other hand, when markets react to similar stimuli, it is not necessary to vary advertising messages for the sake of variation. A Mexican-produced commercial for Vicks VapoRub was used throughout Latin America and then in 40 other countries, including France. The message was totally relevant to the habits and customs of all these countries.

Because there are few situations where either a multi-domestic or global marketing strategy alone is clearly the best, most companies compromise with pattern advertising.

Pattern Advertising: Plan Globally, Act Locally

A product is more than a physical item; it is a bundle of satisfactions the buyer receives. This package of satisfactions or utilities includes the primary function of the product along with many other benefits attributed to the values and customs of the culture. Different cultures often seek the same value or benefits from the primary function of a product; for example, the ability of an automobile to get from point A to point B, a camera to take a picture, or a wristwatch to tell time. But while agreeing on the benefit of the primary function of a product, other features and psychological attributes of the item can have significant differences.

Consider the different market-perceived needs for a camera. In the United States, excellent pictures with easy, foolproof operation are expected by most of the market; in Germany and Japan, a camera must take excellent pictures but the camera must also be state-of-the-art in design. In Africa, where penetration of cameras is less than 20 percent of the households, the concept of picture-taking must be sold. In all three markets, excellent pictures are expected (i.e., the primary function of a camera is demanded) but the additional utility or satisfaction derived from a camera differs among cultures. There are many products that produce such different expectations beyond

the common benefit sought by all. Thus, many companies follow a strategy of pattern advertising, a global advertising strategy with a standardized basic message allowing some degree of modification to meet local situations. As the popular saying goes, *Think Globally, Act Locally*. In this way, some economies of standardization can be realized while specific cultural differences are accommodated.

Global Market Segmentation and Promotional Strategy

Rather than approaching a promotional strategy decision as having to be either standardized or adapted, a company should first identify market segments. A market segment consists of consumers with more similarities in their needs, wants, and buying behavior than differences, and thus more responsive to a uniform promotional theme. Market segments can be defined within country boundaries or across countries. Global market segmentation involves identifying homogeneous market segments across groups of countries. Customers in a global market segment may come from different cultural backgrounds with different value systems and live in different parts of the world, but their commonalities in life-styles and their needs are fulfilled by similar product benefits. Further, while segments in some countries may be too small to be considered, when aggregated across a group of countries, they make a very lucrative total market.

There are those who continue to argue the merits of standardization versus adaptation but most agree that identifiable market segments for specific products exist across country markets and that companies should approach promotional planning from a global perspective, standardize where feasible, and adapt where necessary.

B. Creative Challenges

The growing intensity of international competition, coupled with the complexity of multinational marketing, demands that the international advertiser function at the highest creative level. Advertisers from around the world have developed their skills and abilities to the point that advertisements from different countries reveal basic similarities and a growing level of

sophistication. To complicate matters further, boundaries are placed on creativity by legal, language, cultural, media, production, and cost limitations.

Legal Considerations

Laws that control comparative advertising vary from country to country in Europe. In Germany, it is illegal to use any comparative terminology; you can be sued by a competitor if you do. Belgium and Luxembourg explicitly ban comparative advertising, whereas it is clearly authorized in the U.K., Ireland, Spain, and Portugal. The directive covering comparative advertising will allow implicit comparisons that do not name competitors, but will ban explicit comparisons between named products. The European Commission has issued several directives to harmonize the laws governing advertising. However, member states are given substantial latitude to cover issues under their jurisdiction. Many fear that if the laws are not harmonized, member states may close their borders to advertising that does not respect their national rules.

Advertising on television is strictly controlled in many countries. In Kuwait, the government-controlled TV network allows only 32 minutes of advertising per day, in the evening. Commercials are controlled to exclude superlative descriptions, indecent words, fearful or shocking shots, indecent clothing or dancing, contests, hatred or revenge shots, and attacks on competition. It is also illegal to advertise cigarettes, lighters, pharmaceuticals, alcohol, airlines, and chocolates or other candy.

Language Limitations

Language is one of the major barriers to effective communication through advertising. The problem involves different languages of different countries, different languages or dialects within one country. Impulsive handling of language has created problems in nearly every country.

For example, a company marketing tomato paste in the Middle East found that in Arabic the phrase "tomato paste" translates as "tomato glue." In Spanish-speaking countries you have to be careful of words that have different meanings in the different countries. The word "ball" translates

in Spanish as bola. Bola means ball in one country, revolution in another, a lie or fabrication in another" and, in yet another, it is an obscenity.

Language translation encounters innumerable barriers that impede effective, idiomatic translation and thereby hamper communication. This is especially apparent in advertising materials. Abstraction, concise writing, and word economy, the most effective tools of the advertiser, pose problems for translators. Communication is impeded by the great diversity of cultural heritage and education which exists within countries and which causes varying interpretations of even single sentences and simple concepts.

In addition to translation challenges, low literacy in many countries seriously impedes communications and calls for greater creativity and use of verbal media. Multiple languages within a country or advertising area pose another problem for the advertiser.

Cultural Diversity

The problems associated with communicating to people in diverse cultures present one of the great creative challenges in advertising. Communication is more difficult because cultural factors largely determine the way various phenomena are perceived. If the perceptual framework is different, perception of the message itself differs.

In addition to concerns with differences among nations, advertisers find subcultures within a country require attention as well. In Hong Kong there are 10 different patterns of breakfast eating. The youth of a country almost always constitute a different consuming culture from the older people, and urban dwellers differ significantly from rural dwellers. Besides these differences, there is the problem of changing traditions. In all countries, people of all ages, urban or rural, cling to their heritage to a certain degree but are willing to change some areas of behavior. A few years ago, it was unthinkable to try to market coffee in Japan, but it has become the fashionable drink for younger people and urban dwellers who like to think of themselves as European and sophisticated.

Media Limitations

Limitations on creative strategy imposed by media may diminish the role of advertising in the promotional program and may force marketers to emphasize other elements of the promotional mix.

A marketer's creativity is certainly challenged when a television commercial is limited to 10 showings a year with no two exposures closer than 10 days, as is the case in Italy. Creative advertisers in some countries have even developed their own media for overcoming media limitations.

Production and Cost Limitations

Creativity is especially important when a budget is small or where there are severe production limitations, poor-quality printing, and a lack of high-grade paper. For example, the poor quality of quality publications has caused Colgate-Palmolive to depart from its customary heavy use of print media in the West for other media in Eastern Europe. Newsprint is of such low quality in China that a color ad used by Kodak in the West is not an option. Kodak's solution has been to print a single-sheet color insert as a newspaper supplement.

The necessity for low-cost reproduction in small markets poses another problem in many countries. For example, hand-painted billboards must be used instead of printed sheets because the limited number of billboards does not warrant the production of printed sheets. In Egypt, static-filled television and poor-quality billboards have led companies such as Coca-Cola and Nestle to place their advertisements on the sails of feluccas, boats that sail along the Nile. Feluccas, with their triangle sails, have been used to transport goods since the time of the pharaohs and serve as an effective alternative to attract attention to company names and logos.

In reflecting on what a marketer is trying to achieve through advertising, it is clear that an arbitrary position strictly in favor of either modification or standardization is wrong; rather, the position

must be to communicate a relevant message to the target market. If a promotion communicates effectively in multiple-country markets, then standardize; otherwise, modify. It is the message a market receives that generates sales, not whether an advertisement is standardized or modified.

C. Media Planning and Analysis

Tactical Considerations

Although nearly every sizable nation essentially has the same kinds of media, there are a number of specific considerations, problems, and differences encountered from one nation to another. In international advertising, an advertiser must consider the availability, cost, and coverage of the media. Local variations and lack of market data require added attention.

Imagine the ingenuity required of advertisers confronted with these situations:

- In Brazil, TV commercials are sandwiched together in a string of 10 to 50 commercials within one station break.
- National coverage in many countries means using as many as 40 to 50 different media.
- Specialized media reach small segments of the market only. In the Netherlands, there are Catholic, Protestant, socialist, neutral, and other specialized broadcasting systems.
- In Germany, TV scheduling for an entire year must be arranged by August 30 of the preceding year, with no guarantee that commercials intended for summer viewing will not be run in the middle of winter.
- In Vietnam, advertising in newspapers and magazines is limited to 10 percent of space, and to 5 percent of time, or three minutes an hour, on radio and TV.

Availability One of the contrasts of international advertising is that some countries have too few advertising media and others have too many. In some countries, certain advertising media are forbidden by government edict to accept some advertising materials. Such restrictions are most prevalent in radio and television broadcasting. In many countries there are too few magazines and newspapers to run all the advertising offered to them. Conversely, some nations segment the market with so many newspapers that the advertiser cannot gain effective coverage at a reasonable cost.

Cost Media prices are susceptible to negotiation in most countries. Agency space discounts are often split with the client to bring down the cost of media. The advertiser may find the cost of reaching a prospect through advertising depends on the agent's bargaining ability. Shortages of advertising time on commercial television in some markets have caused substantial price increases. In Britain, prices escalate on a bidding system. They do not have fixed rate cards; instead there is a preempt system in which advertisers willing to pay a higher rate can bump already scheduled spots.

Coverage Closely similar to the cost dilemma is the problem of coverage. Two points are particularly important: one relates to the difficulty of reaching certain sectors of the population with advertising and the other to the lack of information on coverage. In many world marketplaces, a wide variety of media must be used to reach the majority of the markets. In some countries, large numbers of separate media have divided markets into uneconomical advertising segments. With some exceptions, a majority of the population of less-developed countries cannot be reached readily through the medium of advertising. In India, Video Vans are used to reach India's rural population with 30-minute infomercials extolling the virtues of a product. Consumer goods companies deploy vans year-round except in the monsoon season. Colgate hires 85 vans at a time and sends them to villages that research has shown to be promising.

Because of the lack of adequate coverage by any single media in Eastern European countries, it is necessary for companies to resort to a multimedia approach. In the Czech Republic, for example, TV advertising rates are high, and unavailable prime-time spots have forced companies to use billboard advertising. Outdoor advertising has become popular, and in Prague alone, billboards have increased from 50 in 1990 to over 3,500 in 1994.

Lack of Market Data Verification of circulation or coverage figures is a difficult task. For example, in China, surveys of habits and market penetration are available only for the cities of Beijing, Shanghai, and Guangzhou. Radio and television audiences are always difficult to measure, but at least in most countries, geographic coverage is known. Research data are becoming more reliable as advertisers and agencies demand better quality data.

Even where advertising coverage can be measured with some accuracy, there are questions about the composition of the market reached. Lack of available market data seems to characterize most international markets; advertisers need information on income, age, and geographic distribution, but such basic data seems chronically elusive except in the largest markets. Even the attractiveness of global television (satellite broadcasts) is diminished somewhat because of the lack of media research available.

CHAPTER 6: PRICING AND TERMS OF PAYMENT

A. Pricing Issues and Decisions

Even when the international marketer produces the right product, promotes it correctly, and initiates the proper channel of distribution, the effort fails if the product is not properly priced. Setting the right price for a product can be the key to success or failure.

Developing effective prices and pricing policies is a critical determinant of any firm's success. Pricing policies directly affect the size of the revenues earned by the firm. But they also serve as an important strategic weapon by allowing the firm to shape the competitive environment in which it does business. For example, Toys 'R' Us has achieved enormous success in Germany, Japan, the United States, and other countries by selling low-priced toys in low-cost warehouse-like settings. Its low prices have placed enormous pressure on its competitors to slash their costs, alter their distribution systems, and shrink their profit margins. The firm's aggressive pricing strategy has effectively forced its competitors to fight the battle for Asian, European, and American consumers on terms dictated by Toys 'R' Us.

Both domestic and international firms must strive to develop pricing strategies that will produce profitable operations. But the task facing an international firm is more complex than that facing a purely domestic firm. To begin with, a firm's costs of doing business vary widely by country.

Differences in transportation charges and tariffs cause the landed price of goods to vary by country. Differences in distribution practices also affect the final price the end customer pays. For example, intense competition among distributors in the United States minimizes the margin between retail prices and manufacturers' prices. In contrast, Japan's inefficient multi-layered distribution system, which relies on a chain of distributors to distribute goods, often inflates the prices Japanese consumers pay for goods. Exchange-rate fluctuations can also create pricing problems. If an exporter's home currency rises in value, the exporter must choose between maintaining its prices in the home currency (which makes its goods more expensive in the importing country) and maintaining its prices in the host country (which cuts its profit margins by lowering the amount of home-country currency it receives for each unit sold). In addition, a product's price must reflect the quality/value the consumer perceives in the product.

International firms must consider these factors in developing their pricing policies for each national market they serve. They must decide whether they want to apply consistent prices across all those markets or customize prices to meet the needs of each. In reaching this decision, they must remember that competition, culture, distribution channels, income levels, legal requirements, and exchange rate stability, customers attitude may vary widely by country.

B. Pricing Policies

International firms generally adopt one of three pricing policies

1. Standard price policy
2. Two-tiered pricing
3. Market pricing

Standard Price Policy: An international firm following a geocentric approach to international marketing will adopt this pricing policy, whereby it charges the same price to its products and services regardless of where they are sold. Firms that adopt standard price policy are generally of two types:

- A firm whose products or services are highly visible and allow price comparison, to be readily made. Boeing, for example, sells commercial aircraft for approximately the same price to airlines worldwide, regardless of whether the customer - United Airlines, Japan Airlines, Lufthansa, or some other airline. Relatively few planes are sold each year, and most major sales are reported in the business press. If Boeing charged vastly different prices for its aircraft, some of its favored customers might begin to resell the planes to less favored ones-an easy task, given the mobility of Boeing's product. Thus the nationality of the customer is of little importance in the firm's pricing decisions.
- A firm that sells commodity goods in competitive markets. For example, producers of crude oil, such as Aramco, Kuwait Oil, and Pemex, sell their products to any and all customers at prices determined by supply and demand in the world crude oil market. Other commodities produced and traded worldwide, such as coal and agricultural goods, are also sold at competitive prices (with suitable adjustments for quality differentials and transportation costs) with little regard to the purchaser's nationality.

Two-tiered pricing policy: An international firm that follows an ethnocentric marketing approach will use this pricing policy, whereby it sets one price for all its domestic sales and a second price for all its international sales. A firm that adopts a two-tiered pricing policy commonly allocates to domestic sales all accounting charges associated with R&D, administrative overhead, capital depreciation, and so on. The firm can then establish a uniform foreign sales price without having to worry about covering these costs. Indeed, the only costs that need to be covered by the foreign sales price are the marginal costs associated with foreign sales, such as the product's unit manufacturing costs, shipping costs, tariffs, and direct sale costs.

Two-tiered pricing is often used by domestic firms that are just beginning to internationalize. In the short run, charging foreign customers a price that covers only marginal costs may be an appropriate approach for such firms. But the strong ethnocentric bias of two-tiered pricing suggests it is not a suitable long-run pricing strategy. A firm that views foreign customers as marginal to its business rather than as integral to it-will never develop the international skills, expertise, and outlook necessary to compete successfully in the international marketplace.

Firms that adopt a two-tiered pricing policy are also vulnerable to charges of dumping. It is the selling of a firm's products in a foreign market for a price lower than that charged in its domestic market an outcome that can easily result from a two-tiered pricing system. Most countries have issued regulations intended to protect domestic firms from dumping by foreign competitors. For example, in 1993 Toyota and Mazda were charged with dumping minivans in the U.S. market. Although the Japanese automakers were not penalized in this case, both subsequently raised their minivan prices in order to avoid future dumping complaints.

Market Pricing Policy (Price Discrimination): An international firm that follows a polycentric approach to international marketing will use a market pricing policy. Market pricing is the most complex of the three pricing policies and the one most commonly adopted. A firm utilizing market pricing customizes its prices on a market-by-market basis to maximize its profits in each market. Thus, it involves charging whatever the market will bear; in a competitive market, prices may have to be lower than in a market where the firm has a monopoly.

Two conditions are necessary for a profitable market pricing or price discrimination.

First, the there must be able to *keep its national markets separate*. If it cannot, individuals or businesses may undercut its attempt at price discrimination through arbitrage. Arbitrage occurs when an individual or business capitalizes on a price differential by purchasing the product in the country where prices are lower and reselling it in a country where prices are higher. For example, many automobile firms have long practiced price discrimination in Europe. At one point a Ford Escort cost \$2000 more in Germany than it did in Belgium. This policy broke down when car dealers bought Escorts in Belgium and drove them to Germany, where they sold them at a profit for slightly less than Ford was selling Escorts in Germany. To protect the market share of its German auto dealers, Ford had to bring its German prices in line with those being charged in Belgium. In other words, Ford could not keep these markets separate.

Advantages

Assuming these conditions are met, the advantages of this market pricing policy are obvious.

1. The firm can set higher prices where markets will tolerate them and lower prices where necessary in order to remain competitive.
2. It also can directly allocate relevant local costs against local sales within each foreign market, thereby allowing corporate strategists and planners to better allocate the firm's resources across markets.

But such flexibility comes with a cost. To capture the benefits of market pricing, local managers must closely monitor sales and competitive conditions within their markets so that appropriate and timely adjustments can be made. Also, the corporate staff must be willing to delegate authority to local managers to allow them to adjust prices within their markets. Firms most likely to use this approach are those that both produce and market their products in many different countries. For example, Samsung uses market pricing for its line of consumer electronics products. It operates production facilities in almost two dozen countries and sells its products in close to a hundred markets. Samsung has found that market pricing actually makes it easier to export and market its products within such a complex context.

Disadvantages

A market pricing policy can have the following problems

- *It exposes a firm to dumping complaints:* A market pricing policy may result in firms being charged with selling their products in a foreign market for a price lower than that charged in domestic market.
- *It may damage its brand name:* The firm needs to ensure that the prices it charges in one market do not damage the brand image it has carefully nurtured in others. For example, suppose Seagram encouraged its North American and European brand managers to market Johnny Walker Red as a premium scotch whiskey sold at a premium price but allowed its Japanese brand managers to peddle it as a non-prestigious brand sold at rock-bottom prices. Because of its marketing approach in Japan, Seagram would risk deterioration of Johnny Walker Red's premium brand image in North America and Europe. Thus any international firm that sells brand-name products and adopts market pricing should review the prices charged by local managers to ensure that the integrity of its brand names and its market images are maintained across all of its markets.
- *Development of a gray market for its products:* A firm that follows a market pricing policy also risks the development of gray markets for its products as a result of arbitrage.

A **gray market** is a market that results when products are imported into a country legally but outside the normal channels of distribution authorized by the manufacturer. A gray market may develop when the price in one market is sufficiently lower than the price the firm charges in another that entrepreneurs can buy the good in the lower-price market and resell it in the higher-price market. Thus the firm that has large price differences among markets is vulnerable to having these differentials undercut by gray markets. Gray markets frequently arise when firms fail to adjust local prices after major fluctuations in exchange rates. Coca-Cola, for example, faced such a problem in 1994 after the yen strengthened relative to the U.S. dollar. Japanese discounters were able to purchase and import Coke made in the United States for 27 percent less than the price of Coke made in Japan, thereby disrupting the firm's pricing strategy in both countries.

Products commonly influenced by gray markets include big-ticket items such as automobiles, cameras, computers, ski equipment, and watches. Gray markets are also more prevalent in free-market economies, where fewer government regulations make it easier for them to emerge. Many multi-national companies have attempted to eliminate or control gray markets through legal action, but few have had much success.

C. Price Escalation

Generally the cause of the disproportionate difference between price in the exporting country and the importing country, here termed price escalation, is the added cost incurred as a result of exporting products from one country to another. Specifically, the term relates to situations where ultimate prices are raised by shipping costs, insurance, packing, tariffs, longer channels of distribution, larger middlemen margins, special taxes, administrative costs, and exchange-rate fluctuations. The majority of these costs arise as a direct result of moving goods across borders from one country to another. These costs escalate the final price in the importing country to a level considerably higher than the price in the exporting country.

Costs of Exporting

Taxes, Tariffs, and Administrative Costs. Taxes and tariffs affect the ultimate consumer price for a product and, in most instances, the consumer bears the burden of both. Sometimes, however, consumers benefit when manufacturers selling goods in foreign countries reduce their net return in order to gain access to a foreign market. Absorbed or passed on, taxes and tariffs must be considered by the international businessperson.

Tariffs and other forms of import taxes serve to discriminate against all foreign goods. Fees for import certificates or for other administrative processing can assume such levels that they are, in fact, import taxes. Many countries have purchase or excise taxes, which apply to various categories of goods, value-added or turnover taxes, which apply as the product goes through a channel of distribution, and retail sales taxes. Such taxes increase the end price of goods but, in general, do not discriminate against foreign goods. Tariffs are the primary discriminatory tax, which must be taken into account in reckoning with foreign competition.

In addition to taxes and tariffs, there are a variety of administrative costs directly associated with exporting and importing a product. Acquiring export and import licenses and other documents and

the physical arrangements for getting the product from port of entry to the buyer's location mean additional costs. While such costs are relatively small, they add to the overall cost of exporting.

Exchange-Rate Fluctuations. At one time, world trade contracts could be easily written and payment was specified in a relatively stable currency. The American dollar was the standard and all transactions could be related to the dollar. Now that all major currencies are floating freely relative to one another, no one is quite sure of the future value of any currency. Increasingly, companies are insisting that transactions be written in terms of the vendor company's national currency, and forward hedging is becoming more common. If exchange rates are not carefully considered in long-term contracts, companies find themselves unwittingly giving 15-20 percent discounts. The added cost incurred by exchange rate fluctuations on a day-to-day basis must be taken into account, especially where there is a significant time lapse between signing the order and delivery of the goods. Exchange-rate differentials mount up.

Middleman and Transportation Costs. Channel length and marketing patterns vary widely, but in most countries channels are longer and middleman margins. The diversity of channels used to reach markets and the lack of standardized middleman markups leave many producers unaware of the ultimate price of a product.

Shipping costs, Insurance, Packing. Exporting also incurs increased transportation costs when moving goods from one country to another. If the goods go over water, there are additional costs for insurance, packing, and handling not generally added to locally produced goods. Such costs add yet another burden because import tariffs in many countries are based on the landed cost that includes transportation, insurance, and shipping charges. These costs add to the inflation of the final price.

Approaches to Lessening Price Escalation

There are three efforts whereby costs may be reduced in attempting to lower price escalation: (1) lower the cost of goods, (2) lower the tariffs, and (3) lower the distribution costs.

Lower Cost of Goods. If the manufacturer's price can be lowered, the effect is felt throughout the chain. One of the important reasons for *manufacturing in a third country* is an attempt to reduce manufacturing costs and, thus, price escalation.

Eliminating costly functional features or even *lowering overall product quality* is another method of minimizing price escalation.

Lowering manufacturing costs can often have a double benefit: the lower price to the buyer may also mean lower tariffs, since most tariffs are levied on an ad valorem basis.

Lower Tariffs. When tariffs account for a large part of price escalation, as they often do, companies seek ways to lower the rate. Some products can be *reclassified into a different, and lower, customs classification*. An American company selling data communications equipment in Australia faced a 25 percent tariff, which affected the price competitiveness of its products. It persuaded the Australian government to change the classification for the type of products the company sells from "computer equipment (25 percent tariff) to "telecommunication equipment" (3 percent tariff). Like many products, this company's products could be legally classified under either category.

Besides having a product reclassified into a lower tariff category, it may be possible to *modify a product to qualify for a lower tariff* rate within a tariff classification.

There are often differential rates between fully assembled, ready-to-use products and those requiring some assembly, further processing, the addition of locally manufactured component parts, or other processing that adds value to the product and can be performed within the foreign country. For example, a ready-to-operate piece of machinery with a 20 percent tariff may be subject to only a 12 percent tariff when *imported unassembled*. An even lower tariff may apply when the product is assembled in the country and some *local content* is added.

Repackaging also may help to lower tariffs. Tequila entering the United States in containers of one gallon or less carries a duty of \$2.27 per proof gallon; larger containers are assessed at only \$1.25

per gallon. If the cost of rebottling is less than \$1.02 per proof gallon, and it probably would be, considerable saving could result.

Lower Distribution Costs. Shorter channels can help keep prices under control. Designing a channel that has fewer middlemen may lower distribution costs by reducing or *eliminating middleman markup*.

D. Administered Pricing

Administered pricing relates to *attempts to establish prices for an entire market*. Such prices may be arranged through the *cooperation of competitors, through governments, or by international agreement*. The legality of administered pricing arrangements of various kinds differs from country to country and from time to time. A country may condone price fixing for foreign markets but condemn it for the domestic market, for instance.

In general, the end goal of all administered pricing activities is *to reduce the impact of price competition or eliminate it*. Price fixing by business is not viewed as an acceptable practice (at least in the domestic market), but when governments enter the field of price administration, they presume to do it for the general welfare to lessen the effects of "destructive" competition.

There are several price-fixing arrangements under various names and may be adapted to international business, but of all the forms of arrangements, cartels are the most directly associated with international marketing.

Cartels

A cartel exists when various companies (countries) producing similar products or services work together to control markets for the types of goods and services they produce. The cartel association may use formal agreements to set prices, establish levels of production and sales for the participating companies, allocate market territories, and even redistribute profits. In some

instances, the cartel organization itself takes over the entire selling function, sells the goods of all the producers, and distributes the profits.

The economic role of cartels is highly debatable, but their proponents argue that they eliminate cut-throat competition and "rationalize" business, permitting greater technical progress and lower prices to consumers. However, in the view of most experts, it is doubtful that the consumer benefits very often from cartels.

The Organization of Petroleum Exporting Countries (OPEC) is probably the best known international cartel. Its power in controlling the price of oil resulted from the percentage of oil production it controlled. In the early 1970s, when OPEC members provided the industrial world with 67 percent of its oil, OPEC was able to quadruple the price of oil. The sudden rise in price from \$ 10 or \$ 12 a barrel to \$50 or more a barrel was a primary factor in throwing the world into a major recession. Non-OPEC oil-exporting countries benefited from the price increase while net importers of foreign oil suffered economic downturns. Among Third World countries, those producing oil prospered while oil importers suffered economically from the high prices.

One important aspect of cartels is their inability to maintain control for indefinite periods. Greed by a cartel member and other problems generally weaken the control of the cartel. OPEC's control began to erode as member nations began violating production quotas, users were taking effective steps for conservation, and new sources of oil production by non-OPEC members were developed.

Government-Influenced Pricing

Companies doing business in foreign countries encounter a number of different types of government price setting. To control prices, governments may establish margins, set prices and floors or ceilings, restrict price changes, compete in the market, grant subsidies, and act as a purchasing monopoly or selling monopoly.

Governments of producing and consuming countries seem to play an ever-increasing role in the establishment of international prices for certain basic commodities. There is, for example, an international coffee agreement, an international cocoa agreement, and an international sugar agreement. And the world price of wheat has long been at least partially determined by negotiations between national governments.

Despite the pressures of business, government, and international price agreements, most marketers still have wide latitude in their pricing decisions for most products and markets.

CHAPTER 7: DISTRIBUTION STRATEGIES IN INTERNATIONAL CONTEXT

A. Introduction

In every country and in every market, urban or rural, rich or poor, all consumer and industrial products eventually go through a distribution process. The distribution process includes the physical handling and distribution of goods, the passage of ownership (title), and most important from the standpoint of marketing strategy the buying and selling negotiations between producers and middlemen and between middlemen and customers.

Each country market has a distribution structure through which goods pass from producer to user. Within this structure are a variety of middlemen whose customary functions, activities, and services reflect existing competition, market characteristics, tradition, and economic development. In short, the behavior of channel members is the result of the interactions between the cultural environment and the marketing process.

This chapter deals with the patterns of distribution that confront international marketers in the world market place, alternative middlemen choices both in their home country and foreign countries, and the factors affecting choice of channels of distribution.

B. Distribution Patterns

International marketers need a general awareness of the patterns of distribution that confront them in world marketplaces. Nearly every international trading firm is forced by the structure of the market to use at least some middlemen in the distribution arrangement. However, the pattern of structure may differ from market to market. Thus, understanding the various kinds of distribution patterns may assist international marketers to make an appropriate choice.

Line Breadth: Every nation has a distinct pattern relative to the breadth of line carried by wholesalers and retailers. The distribution system of some countries seems to be characterized by middlemen who carry or can get everything; in others, every middleman seems to be a specialist dealing only in extremely narrow lines. Government regulations in some countries limit the

breadth of line that can be carried by middlemen and licensing requirements to handle certain merchandise are not uncommon.

Costs and Margins: Cost levels and middleman margins vary widely from country to country, depending on the level of competition, services offered, efficiencies or inefficiencies of scale, and geographic and turnover factors related to market size, purchasing power, tradition, and other basic determinants. In India, competition in large cities is so intense that costs are low and margins thin; but in rural areas, the lack of capital has permitted the few traders with capital to gain monopolies with consequent high prices and wide margins.

Channel Length: Some correlation may be found between the stage of economic development and the length of marketing channels. In every country channels are likely to be shorter for industrial goods and for high-priced consumer goods than for low-priced products. In general, there is an inverse relationship between channel length and the size of the purchase. Combination wholesaler-retailers or semi-wholesalers exist in many countries, adding one or two links to the length of the distribution chain.

Blocked Channels: International marketers may be blocked from using the channel of their choice. Blockage can result from competitors' already-established lines in the various channels and trade associations or cartels having closed certain channels. Associations of middlemen sometimes restrict the number of distribution alternatives available to a producer.

Stocking: The high cost of credit, danger of loss through inflation, lack of capital, and other concerns cause foreign middlemen in many countries to limit inventories. This often results in out-of-stock conditions and sales lost to competitors. Physical distribution lags intensify their problem so that in many cases the manufacturer must provide local warehousing or extend long credit to encourage middlemen to carry large inventories.

Often large inventories are out of the question for small stores with limited floor space. Considerable ingenuity, assistance, and, perhaps pressure are required to induce middlemen in most countries to carry adequate or even minimal inventories.

Power and Competition: Distribution power tends to concentrate in countries where a few large wholesalers distribute to a mass of small middlemen. Large wholesalers generally finance middlemen downstream. The strong allegiance they command from their customers enables them to effectively block existing channels and force an outsider to rely on less effective and more costly distribution.

C. Alternative Middleman Choices

A marketer's options range from assuming the entire distribution activity (by establishing its own subsidiaries and marketing directly to the end user) to depending on intermediaries for distribution of the product. Channel selection must be given considerable thought since once initiated it is difficult to change, and if it proves inappropriate, future growth of market share may be affected.

The channel process includes all activities beginning with the manufacturer and ending with the final consumer. This means the seller must exert influence over two sets of channels, one in the home country and one in the foreign-market country. In the home country, the seller must have an organization (generally the international marketing division of a company) to deal with channel members needed to move goods between countries. In the foreign market, the seller must supervise the channels that supply the product to the end user. Ideally, the company wants to control or be involved in the process directly through the various channel members to the final user. To do less may result in unsatisfactory distribution and the failure of marketing objectives. In practice, however, such involvement throughout the channel process is not always practical or cost effective. Consequently, selection of channel members and effective controls are high priorities in establishing the distribution process.

Once the marketer has clarified company objectives and policies, the next step is the selection of specific intermediaries needed to develop a channel. External middlemen are differentiated on whether or not they take title to the goods — *agent middlemen* represent the principal rather than

themselves, and *merchant middlemen* take title to the goods and buy and sell on their own account. The distinction between agent and merchant middlemen is important because a manufacturer's control of the distribution process is affected by who has title to the goods in the channel.

Agent middlemen work on commission and arrange for sales in the foreign country but do not take title to the merchandise. By using agents, the manufacturer assumes trading risk but maintains the right to establish policy guidelines and prices and to require its agents to provide sales records and customer information.

Merchant middlemen actually take title to manufacturers' goods and assume the trading risks, so they tend to be less controllable than agent middlemen. Merchant middlemen provide a variety of import and export wholesaling functions involved in purchasing for their own account and selling in other countries. Because merchant middlemen primarily are concerned with sales and profit margins on their merchandise, they are frequently criticized for not representing the best interests of a manufacturer. Unless they have a franchise or a strong and profitable brand, merchant middlemen seek goods from any source and are likely to have low brand loyalty. Some of the advantages of merchant middlemen include minimized credit risk and elimination of all merchandise handling outside the home country.

Middlemen are not clear-cut, precise, easily defined entities. It is exceptional to find a firm that represents one of the pure types identified here. Thus, intimate knowledge of middlemen functions is especially important in international activity because misleading titles can fool a marketer unable to look beyond mere names.

Only by analyzing middlemen functions in detailed simplicity can the nature of the channels be determined. Two alternatives are presented: first, middlemen physically located in the manufacturer's home country; and second, middlemen located in foreign countries.

Home-Country Middlemen

Home-country middlemen, or domestic middlemen, located in the producing firm's country, provide marketing services from a domestic base. By selecting domestic middlemen as intermediaries in the distribution processes, companies transfer foreign-market distribution to others. Domestic middlemen offer many advantages for companies with small international sales volume, those inexperienced with foreign markets, those not wanting to become immediately involved with the complexities of international marketing, and those wanting to sell abroad with minimum financial and management commitment. A major trade-off for using home-country middlemen is limited control over the entire process. Domestic middlemen are most likely to be used when the marketer is uncertain and/or desires to minimize financial and management investment. A brief discussion of the more frequently used domestic middlemen follows.

Trading Companies: Trading companies have a long history as important intermediaries in the development of trade between nations. Trading companies accumulate, transport, and distribute goods from many countries.

Large, established trading companies generally are located in developed countries; they sell manufactured goods to developing countries and buy raw materials and unprocessed goods from developing countries.

Complementary Marketers: Companies with marketing facilities or contacts in different countries with excess marketing capacity or a desire for a broader product line sometimes take on additional lines for international distribution; although the generic name for such activities is complementary marketing, it is commonly called *piggybacking*. General Electric Company has been distributing merchandise from other suppliers for many years. It accepts products that are noncompetitive but complementary and that add to the basic distribution strength of the company itself.

Manufacturer's Export Agent: The manufacturer's export agent (MEA) is an individual agent middleman or an agent middleman firm providing a selling service for manufacturers. The MEA does not serve as the producer's export department but has a short-term relationship, covers only one or two markets, and operates on a straight commission basis.

Home Country Brokers: The term broker is applicable for a variety of middlemen performing low-cost agent services. The term is typically applied to import-export brokers who provide the intermediary function of bringing buyers and sellers together and who do not have a continuing relationship with their clients. Most brokers specialize in one or more commodities for which they maintain contact with major producers and purchasers throughout the world.

Export Merchants: Export merchants are essentially domestic merchants operating in foreign markets. As such, they operate much like the domestic wholesaler. Specifically, they purchase goods from a large number of manufacturers, ship them to foreign countries, and take full responsibility for their marketing. Sometimes they utilize their own organizations, but, more commonly, they sell through middlemen. They may carry competing lines, have full control over prices, and maintain little loyalty to suppliers, although they continue to handle products as long as they are profitable.

Foreign-Country Middlemen

An international marketer seeking greater control over the distribution process may elect to deal directly with middlemen in the foreign market. They gain the advantage of shorter channels and deal with middlemen in constant contact with the market. As with all middlemen, particularly those working at a distance, effectiveness is directly dependent on the selection of middlemen and on the degree of control the manufacturer can and/or will exert.

Using foreign-country middlemen moves the manufacturer closer to the market and involves the company more closely with problems of language, physical distribution, communications, and financing. Foreign middlemen may be agents or merchants; they may be associated with the parent company to varying degrees; or they may be temporarily hired for special purposes. Some of the more important foreign-country middlemen are manufacturer's representatives and foreign distributors.

Manufacturer's Representatives: Manufacturer's representatives are agent middlemen who take responsibility for a producer's goods in a city, regional market area, entire country, or several adjacent countries. When responsible for an entire country, the middleman is often called a sole agent.

Foreign manufacturer's representatives have a variety of titles, including sales agent, resident sales agent, exclusive agent, commission agent, and indent agent. They take no credit, exchange, or market risk but deal strictly as field sales representatives. Manufacturers who wish the type of control and intensive market coverage their own sales force would afford, but who cannot field one, may find the manufacturer's representative a satisfactory choice.

Distributors: A foreign distributor is a merchant middleman. This intermediary often has exclusive sales rights in a specific country and works in close cooperation with the manufacturer. The distributor has a relatively high degree of dependence on the supplier companies, and arrangements are likely to be on a long-run, continuous basis. Working through distributors permits the manufacturer a reasonable degree of control over prices, promotional effort, inventories, servicing, and other distribution functions. If a line is profitable for distributors, they can be depended on to handle it in a manner closely approximating the desires of the manufacturer.

Foreign-Country Brokers: Like the export broker discussed in an earlier section, foreign-country brokers are agents who deal largely in commodities and food products.

The foreign brokers are typically part of small brokerage firms operating in one country or in a few contiguous countries. Their strength is in having good continuing relationships with customers and providing speedy market coverage at a low cost.

Dealers: Generally speaking, anyone who has a continuing relationship with a supplier in buying and selling goods is considered a dealer. More specifically, dealers are middlemen selling industrial goods or durable consumer goods direct to customers; they are the last step in the channel of distribution. Dealers have continuing, close working relationships with their suppliers and exclusive selling rights for their producer's products within a given geographic area.

Some of the best examples of dealer operations are found in the farm equipment, earth-moving, and automotive industries.

D. Factors Affecting Choice Of Channels

The international marketer needs a clear understanding of market characteristics and must have established operating policies before beginning the selection of channel middlemen. The following points should be addressed prior to the selection process.

1. Identify specific target markets within and across countries.
2. Specify marketing goals in terms of volume, market share, and profit margin requirements.
3. Specify financial and personnel commitments to the development of international distribution.
4. Identify control, length of channels, terms of sale, and channel ownership.

Once these points are established, selecting among alternative middlemen choices to forge the best channel can begin. Marketers must get their goods into the hands of consumers and must choose between handling all distribution or turning part or all of it over to various middlemen. Distribution channels vary depending on target market size, competition, and available distribution intermediaries.

Key elements in distribution decisions include: (1) functions performed by middlemen (and the effectiveness with which each is performed), (2) cost of their services, (3) their availability, and (4) extent of control which the manufacturer can exert over middlemen activities.

Although the overall marketing strategy of the firm must embody the company's profit goals in the short and long run, channel strategy itself is considered to have six specific strategic goals. These goals can be characterized as the six Cs of channel strategy: cost, capital, control, coverage, character, and continuity.

In forging the overall channel-of-distribution strategy, each of the six Cs must be considered in building an economical, effective distribution organization within the long-range channel policies of the company.

Cost: There are two kinds of channel cost: (1) the capital or investment cost of developing the channel and (2) the continuing cost of maintaining it. The latter can be in the form of direct expenditure for the maintenance of the company's selling force or in the form of margins, markup, or commissions of various middlemen handling the goods. Marketing costs (a substantial part of which is channel cost) must be considered as the entire difference between the factory price of the goods and the price the customer ultimately pays for the merchandise. The costs of middlemen include transporting and storing the goods, breaking bulk, providing credit, and local advertising, sales representation, and negotiations.

Capital Requirement: The financial ramifications of a distribution policy are often overlooked. Critical elements are capital requirement and cash-flow patterns associated with using a particular type of middleman. Maximum investment is usually required when a company establishes its own internal channels, that is, its own sales force. Use of distributors or dealers may lessen the capital investment, but manufacturers often have to provide initial inventories on consignment, loans, floor plans, or other arrangements. Coca-Cola initially invested in China with majority partners that met most of the capital requirements. However, Coke soon realized that it could not depend on its local majority partners to distribute its product aggressively in the highly competitive, market-share-driven business of carbonated beverages. To assume more control of distribution it had to assume management control and that meant greater capital investment from Coca-Cola.

Control: The more involved a company is with the distribution, the more control it exerts. A company's own sales force affords the most control but often at a cost that is not practical. Each type of channel arrangement provides a different level of control and, as channels grow longer, the ability to control price, volume, promotion, and type of outlets diminishes. If a company cannot sell directly to the end user or final retailer, an important selection criterion of middlemen should be the amount of control the marketer can maintain.

Coverage: Another major goal is full-market coverage to (1) gain the optimum volume of sales obtainable in each market, (2) secure a reasonable market share, and (3) attain satisfactory market penetration. Coverage may be assessed on geographic and/or market segments. Adequate market coverage may require changes in distribution systems from country to country or time to time. Coverage is difficult to develop both in highly developed areas and in sparse markets the former because of heavy competition and the latter because of inadequate channels.

Character: The channel-of-distribution system selected must fit the character of the company and the markets in which it is doing business. Some obvious product requirements, often the first considered, relate to perishability or bulk of the product, complexity of sale, sales service required, and value of the product.

Continuity: Channels of distribution often pose longevity problems. Most agent middlemen firms tend to be small institutions. When one individual retires or moves out of a line of business, the company may find it has lost its distribution in that area. Wholesalers and especially retailers are not noted for their continuity in business either. Most middlemen have little loyalty to their vendors. They handle brands in good times when the line is making money, but quickly reject such products within a season or a year if they fail to produce during that period. Distributors and dealers are probably the most loyal middlemen, but even with them, manufacturers must attempt to build brand loyalty downstream in a channel in case middlemen shift allegiance to other companies or other inducements.